# Meesho

## BUY

| | |
|---|---|
| Current Price (Rs) | : 146 |
| Target Price (Rs) | : 195 |
| Potential change | : 34% |

**Market Data**

| | |
|---|---|
| No. of shares | : 4,513mn |
| Free Float | : 83.2% |
| Market Cap (USD) | : 6,936mn |
| 52-week High/ Low (Rs) | : 236/ 135 |
| Avg. Daily Volume (6M) | : 28.09mn |
| Avg. Daily Value (6M;USD) | : 54.90mn |
| Bloomberg Code | : MEESHO IB |
| Promoters Holding | : 16.8% |
| FII / DII | : 4%/ 5% |

**Price Performance**

| (%) | 1M | 3M | 12M |
|---|---|---|---|
| Absolute | (9.0) | (26.4) | - |
| Relative | 0.4 | (14.0) | - |

Source: Refinitiv

**Gaurav Malhotra**
Research Analyst

**Della Desai**
Research Analyst

## Initiate at Buy – Value play

**Meesho, India's largest e-com player, is well placed to benefit from e-com growth driven by rising tier 2+ penetration, leveraging its value play and 'affordability' flywheel to drive user growth and order frequency. Key debates: (1) Path to ~440mn ATUs; (2) Salience of ads; and (3) Impact of competition. We estimate Meesho's marketplace NMV/revenue growth at 29/25% CAGR for FY26-30E with ~3% adj. EBITDA margin by FY30E. Asset-light and negative WC supports FCF. We initiate with a BUY rating and TP of Rs195, valuing it at 4x EV/Sales (FY28E), in line with B2C internet peers.**

### Well placed to benefit from the opportunity in value e-commerce

India's 5-year e-com ~20% CAGR will be led by rising penetration in tier2+, where affordability is key. Meesho, as India's largest e-com player with ~250mn ATUs (Annual Transacting Users), is best placed to benefit given its market leadership in unbranded/long-tail categories. Its strategy to drive the affordability flywheel by passing cost efficiencies, especially in logistics, to sellers – allowing them to offer affordable products – helps increase user penetration and order frequency.

### Key debates: TAM/affordability, ad monetization, and competition

- **TAM:** Our analysis shows **~580mn** users by FY30E across rural/urban India where it can capture ~8% of spend in its categories. **Mercado Libre and Pinduoduo** show continued growth in users and order frequency is possible despite high penetration.
- **Ad monetization:** With ~900k sellers, a focus on unbranded assortment leading to clean attribution, high order frequency, and a discovery led platform, **ads become an important margin lever**. We see ads scaling from ~3% of NMV to ~6% by FY30E.
- **Competition:** Amazon Bazaar and Shopsy are **structurally constrained** by seller base, catalogue and fulfilment economics inherited from higher-ASP models. Our check also shows Meesho to be 31-37% cheaper on a 19-product basket costing ~Rs1,600.

### Affordability, ads revenue and operating leverage to drive profitability

Meesho's flywheel should help it deliver 29% NMV CAGR (FY26-30E). Rising ad % would lead to 25% revenue CAGR. Adj. EBITDA margin to expand to 3.1% (FY30E), rising 620bps on operating leverage. Asset-light model and negative working capital cycle support FCF.

### Risks

(1) Lower growth in ATU and seller; (2) logistics costs not declining as expected; and (3) lower-than-expected improvement in ad monetization.

### Financial Summary Consolidated

| Y/E March | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Net sales (Rs mn) | 76,151 | 93,899 | 1,26,120 | 1,71,342 | 2,12,426 |
| EBITDA (Rs mn) | -4,941 | -5,785 | -16,325 | -6,699 | 4,485 |
| Adj. PAT (Rs mn) | -3,145 | -25,953 | -13,780 | -3,878 | 7,941 |
| Con. EPS* (Rs) | - | - | (3.4) | (0.5) | 1.6 |
| FDEPS (Rs) | -0.8 | -5.5 | -2.9 | -0.8 | 1.7 |
| FDEPS growth (%) | -81.2 | 588.0 | -46.9 | -71.9 | -304.8 |
| Previous EPS (Rs) | - | - | - | - | - |
| ROE (%) | -13.4 | -141.2 | -104.8 | -33.9 | 46.9 |
| ROCE (%) | -12.8 | -5.3 | -83.5 | -20.4 | 51.7 |
| EV/Net sales (x) | 7.1 | 6.3 | 4.7 | 3.4 | 2.6 |
| EV/E (x) | -109.8 | -102.6 | -36.4 | -87.3 | 124.8 |

Note: *Consensus broker estimates

Source: Company, Axis Capital

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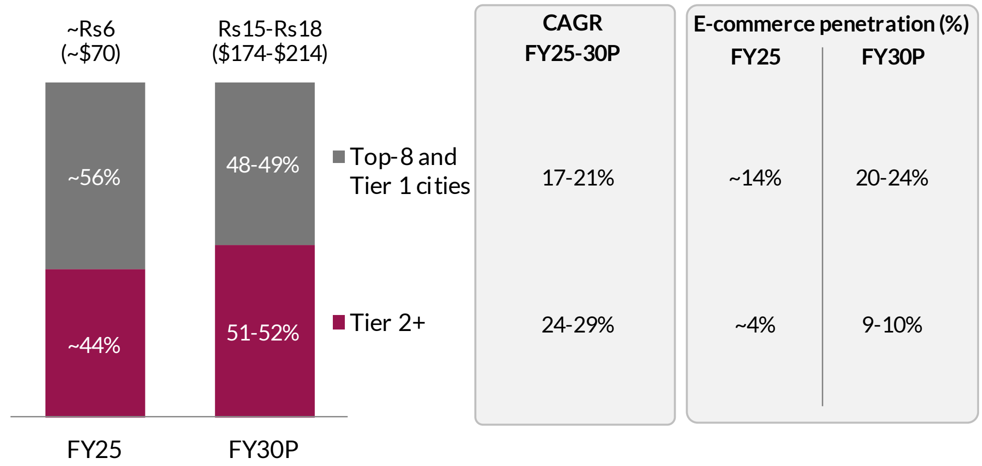
# Story in charts

## E-commerce in India and Meesho share

*E-commerce market is expected to grow ~20% CAGR over 5 years with tier2+ growing faster*

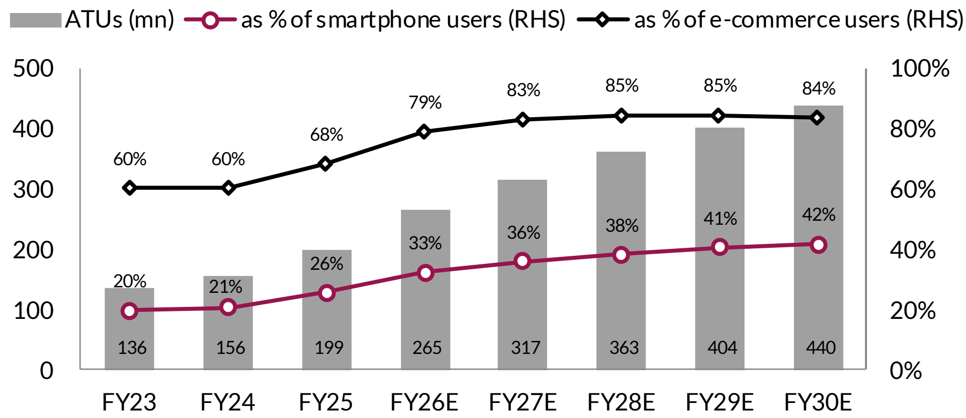
### Exhibit 1: India's e-commerce market




Source: Redseer, Axis Capital

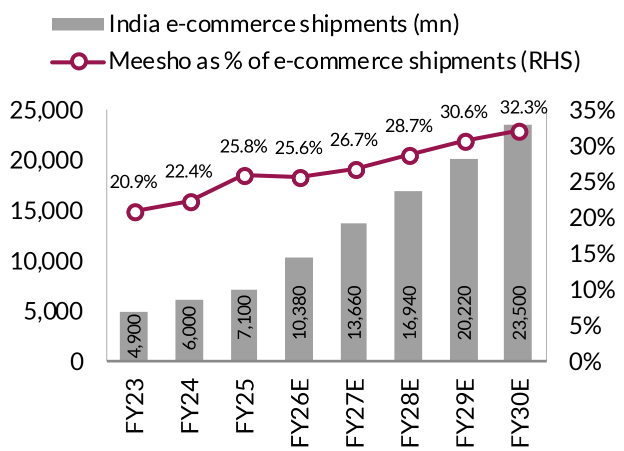
*Meesho is India's largest ecommerce player in terms of ATU*

### Exhibit 2: Meesho's ~265mn ATUs form ~33% of smartphone users in India



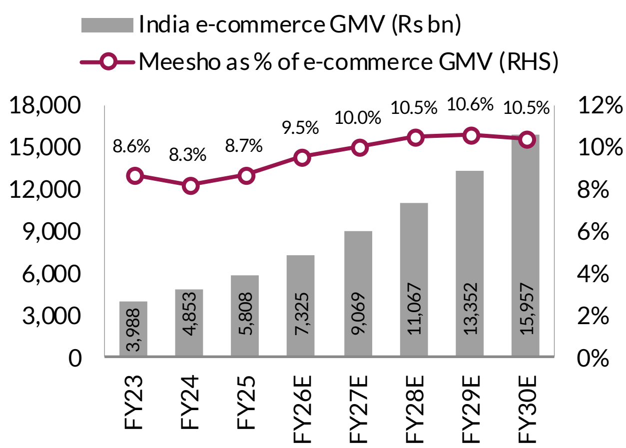

Source: Company, Axis Capital

### Exhibit 3: Meesho forms 25%+ of India e-com shipments




Source: Redseer, Axis Capital

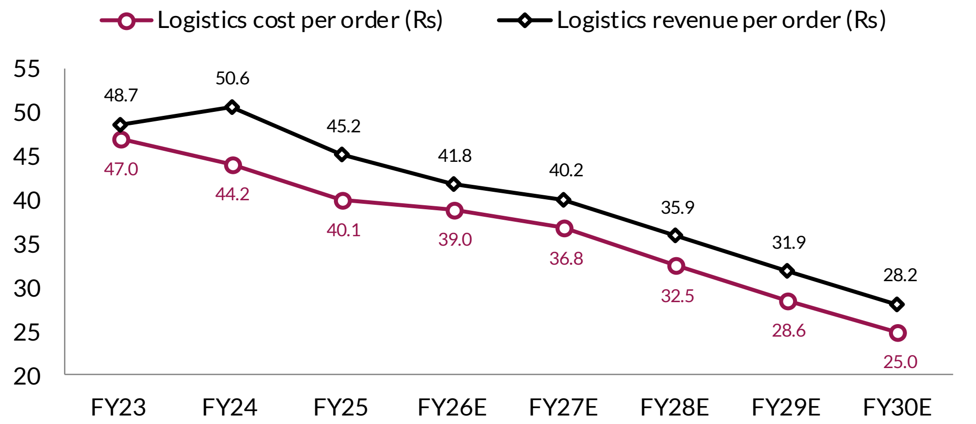
### Exhibit 4: Meesho froms ~10% of India e-com GMV




Source: Redseer, Axis Capital

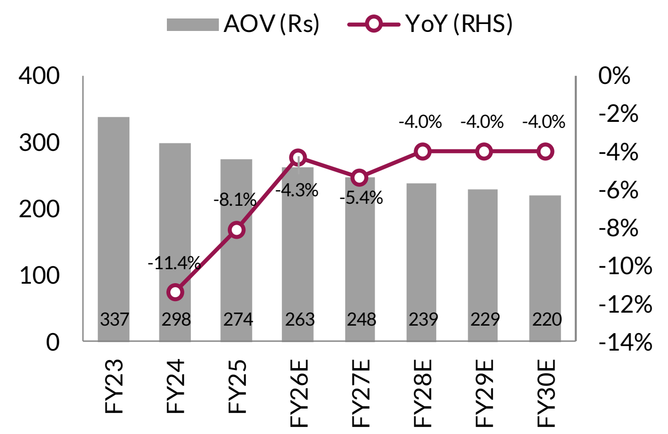
*We expect a decline in logistics revenue per order for Meesho as it passes down all its logistics cost optimization benefits to its sellers*

### Exhibit 5: Logistic revenue and cost per order trends



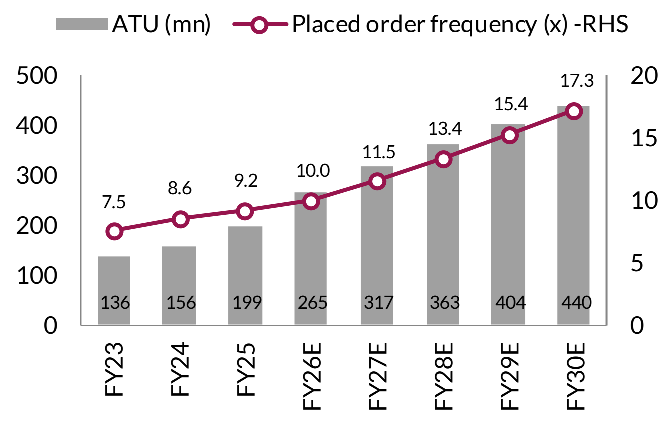

Source: Company, Axis Capital

### Exhibit 6: AOV to improve affordability




Source: Company, Axis Capital

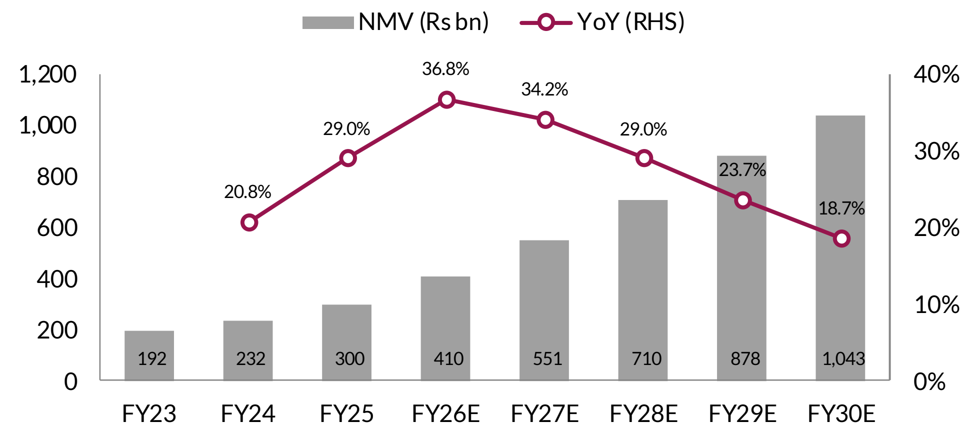
### Exhibit 7: 440mn ATUs , 19x order frequency by FY30




Source: Company, Axis Capital

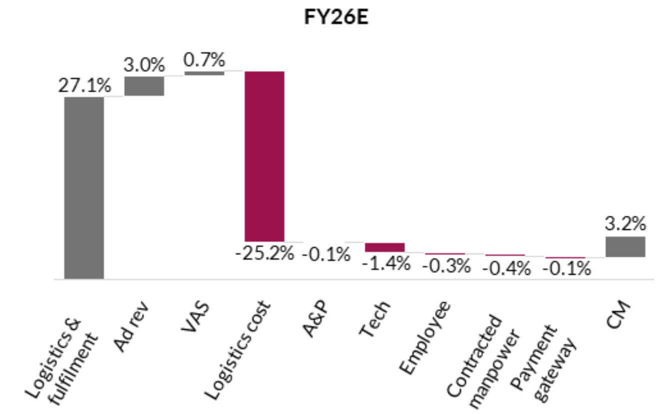
*Combination of ATUs, annual order frequency and AOV to drive NMV growth*

### Exhibit 8: NMV to grow at 26% CAGR (FY26-30E)



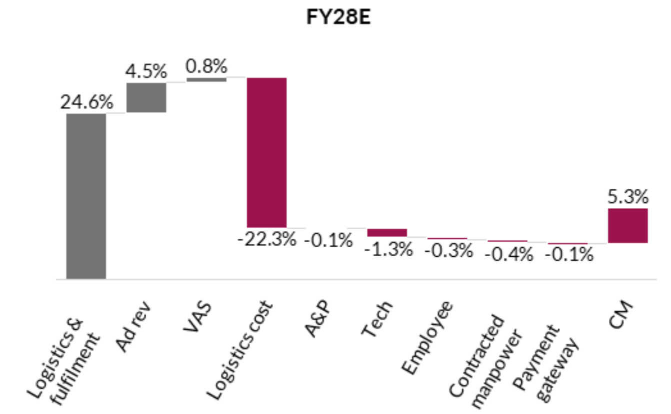

Source: Company, Axis Capital

### Exhibit 9: Unit economics (FY26E) as % of NMV




Source: Company, Axis Capital

### Exhibit 10: Unit economics (FY28E) as % of NMV




Source: Company, Axis Capital

## Key debate #1: How much can Meesho grow its user base? Affordability analysis gives us confidence in ATU growth headroom

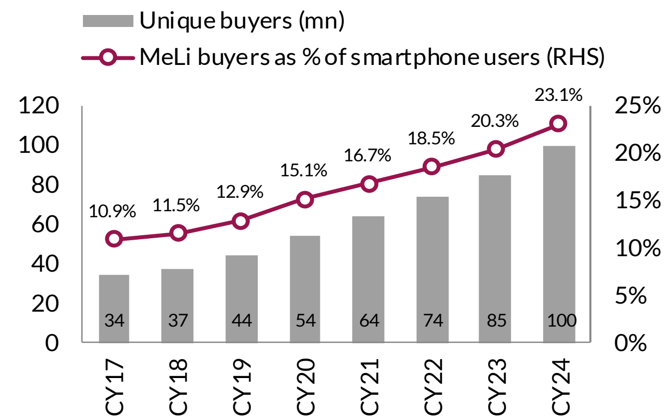
### Exhibit 11: Sensitivity on TAM (aggregate, urban+rural) for Meesho: builds confidence on affordability

| Total | FY23 | FY24 | FY25E | FY26E | FY27E | FY28E | FY29E | FY30E |
|---|---|---|---|---|---|---|---|---|
| TAM ATUs (mn) | 539 | 545 | 550 | 555 | 561 | 566 | 571 | 577 |
| Meesho's ATUs (mn) | 136 | 156 | 199 | 265 | 317 | 363 | 404 | 440 |
| *as % of TAM* | *25.3%* | *28.6%* | *36.1%* | *47.7%* | *56.5%* | *64.1%* | *70.6%* | *76.2%* |
| Targetable spends (Rs bn) | 9,517 | 10,167 | 11,018 | 11,946 | 12,957 | 14,060 | 15,266 | 16,584 |
| Per capita per year (Rs) | 17,642 | 18,668 | 20,036 | 21,515 | 23,113 | 24,843 | 26,715 | 28,745 |
| AOV (Rs) | 337 | 298 | 274 | 263 | 248 | 239 | 229 | 220 |
| Annual Frequency (net) | 4.2 | 5.0 | 5.5 | 5.9 | 7.0 | 8.2 | 9.5 | 10.8 |
| Spend on Meesho per year (Rs) | 1,410 | 1,493 | 1,509 | 1,549 | 1,737 | 1,957 | 2,176 | 2,372 |
| ***% of total spends*** | ***8.0%*** | ***8.0%*** | ***7.5%*** | ***7.2%*** | ***7.5%*** | ***7.9%*** | ***8.1%*** | ***8.3%*** |

Source: Company, MOSPI, Axis Capital

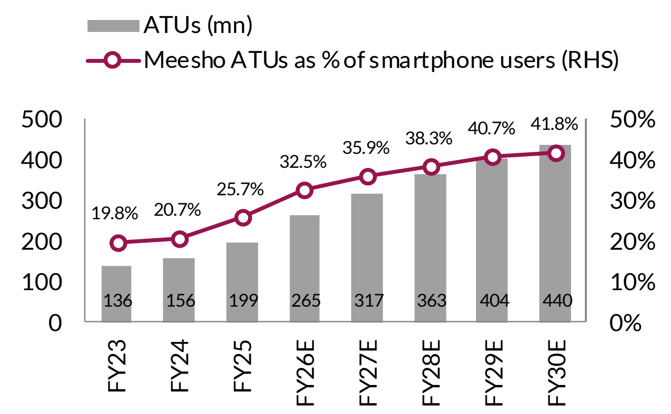
**Drawing parallels with Mercado Libre (MeLi) & PDD for scale and usage trends**

### Exhibit 12: MeLi users – % of LATAM smartphones



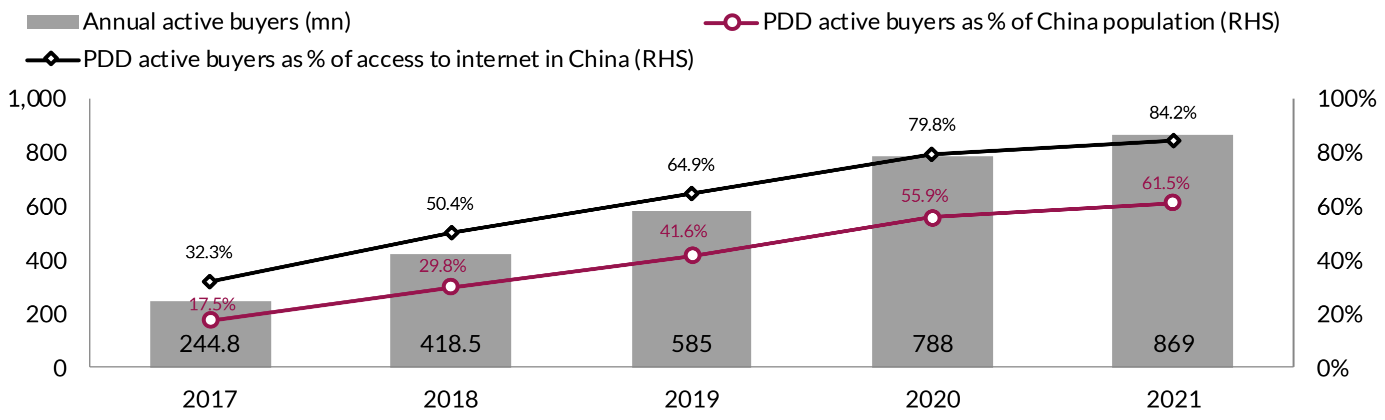

Source: Company, Axis Capital

### Exhibit 13: Meesho ATUs – % of India smartphones




Source: Company, Axis Capital

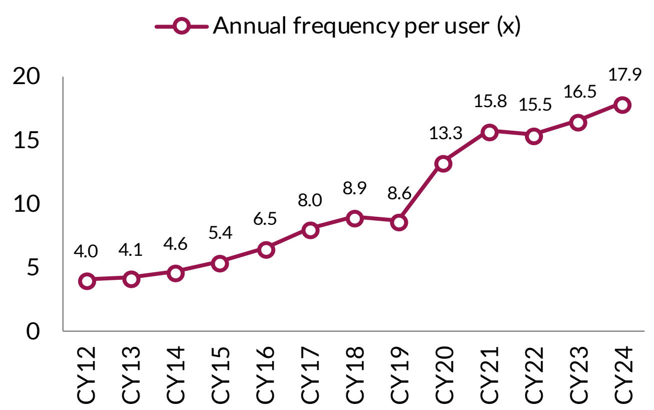
## Exhibit 14: PDD is deeply penetrated in China




Note: PDD stopped reporting active buyers post 2021

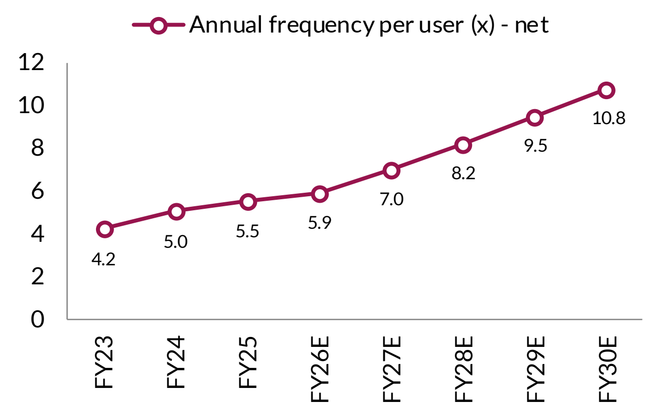
Source: World bank, Company, Axis Capital

## Exhibit 15: MeLi order frequency continues to rise



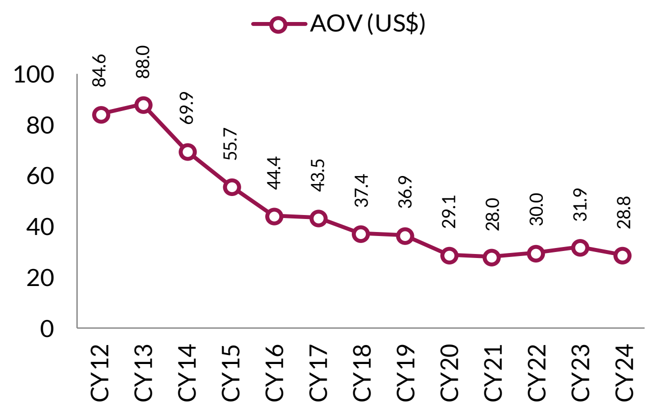

Source: Company, Axis Capital; Note: Calculated as no. of successful items sold divided by unique buyers

## Exhibit 16: Meesho frequency has room to grow



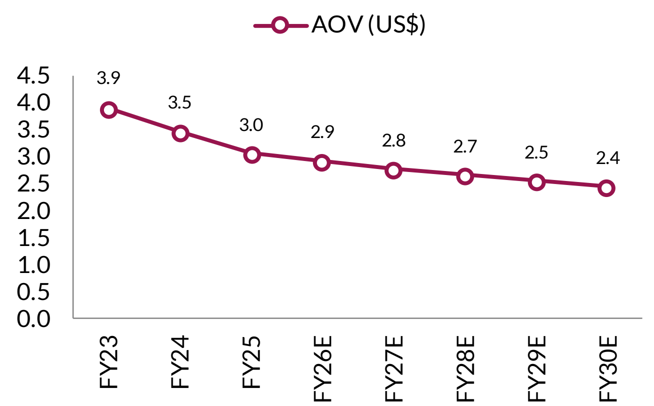

Source: Company, Axis Capital; Note: Calculated on successful orders i.e. net of returns, RTO etc.

## Exhibit 17: Sustained decline in MeLi AOV




Source: Company, Axis Capital; Note: Calculated as GMV divided by no. of successful items sold

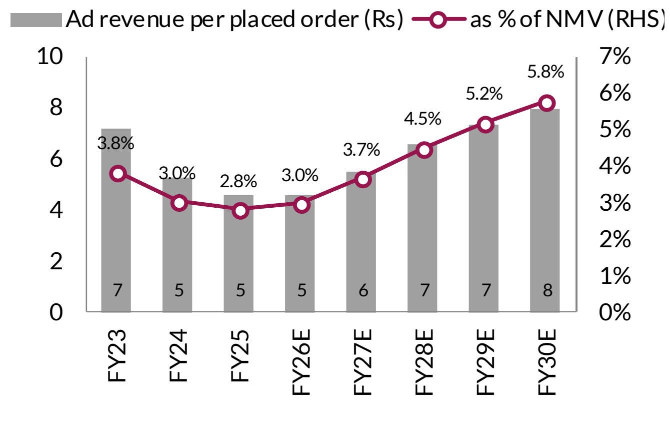
## Exhibit 18: Meesho's AOV likely to similar decline




Source: Company, Axis Capital

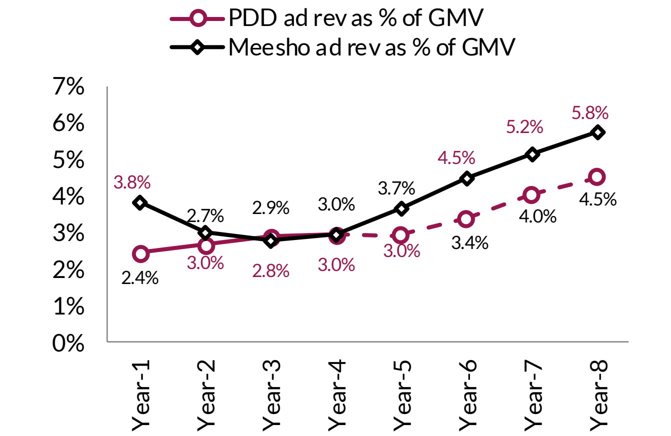
## Key debate #2: Meesho's ad revenue ramp up to tread Pinduoduo's (PDD's) path

### Exhibit 19: Meesho: Rising ad salience to drive margins




Source: Company, Axis Capital

### Exhibit 20: Ad revenue tracking PDD trajectory




Source: Company, Axis Capital; Note: The years indicate year of full-fledged ad monetization ramp up; Year-1 for PDD is 2018, for Meesho it is FY23.

## Key debate #3: Competition not a concern for Meesho – it is cheaper and has a wider assortment

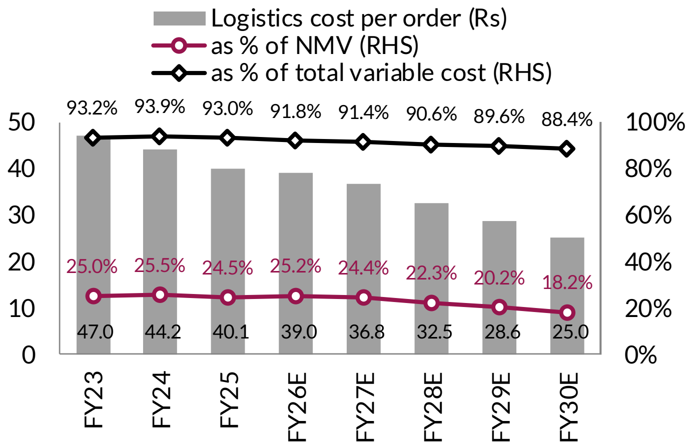
### Exhibit 21: Comparing Meesho's pricing and assortment with Amazon Bazaar and Shopsy

| Parameter | Meesho | Amazon Bazaar | Flipkart Shopsy |
|---|---|---|---|
| **Assortment depth** | Deepest long-tail; supplier base skewed to Tier 2/3 small manufacturers | Unbranded/private-label in fashion & home; constrained by Amazon's seller onboarding & fulfilment standards | Value-focused storefront carved within Flipkart's existing catalogue |
| **Category strengths** | Ethnic wear, unbranded home decor, low-ticket fashion | Fashion & home (unbranded/ private label) | Broadly similar to Bazaar |
| **Truly unorganized sellers (sub-Rs200 SKU tail)** | Present but still underrepresented; expanding through non-GST seller onboarding | Limited | Limited |
| **Relative pricing** | ~35-40% cheaper than peers on averag | Broadly at par with Shopsy | Broadly at par with Bazaar |
| **Prepaid discount** | Rs15-25 additional for UPI/card/wallet | None | None |
| **Returns-linked discount** | Rs10-25 for opting "only defect/wrong returns allowed" | None | None |
| **Delivery fee** | Rs60-70 for items priced below Rs60 | None | None |
| **Minimum order quantity** | Single unit | Single unit | Min quantity required for most SKUs (e.g. 4 units of a Rs40 item = Rs160 minimum outgo) |
| **Discovery model** | Search-and-discovery; some friction but immaterial for price-optimizing, brand-agnostic buyer | Within existing Amazon app/catalogue | Within existing Flipkart app/catalogue |
| **Overall** | Stronger on assortment width/depth and pricing | Mid | Mid |

Source: Company, Axis Capital

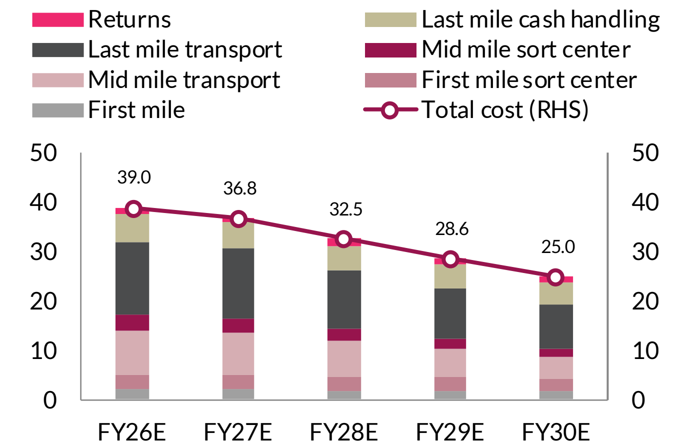
## Key debate #4: Meesho's logistics cost to decline with seller and user densification

### Exhibit 22: Logistics to stay 90-93% of variable costs



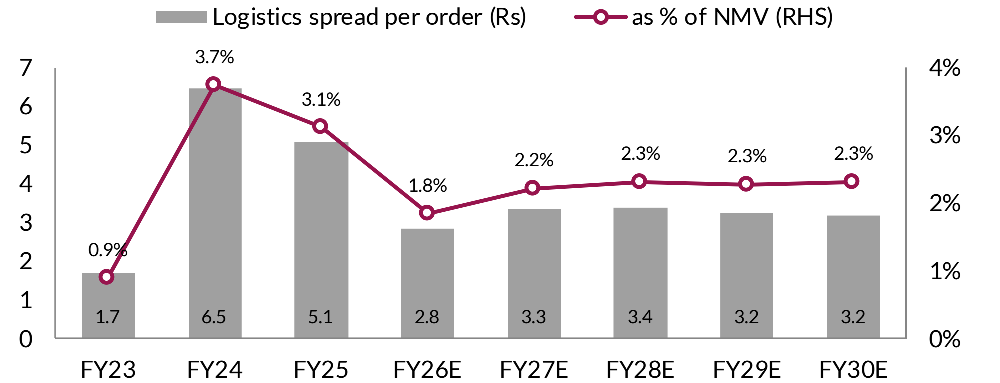

Source: Company, Axis Capital

### Exhibit 23: Mid-mile and last-mile over 60% of logistics



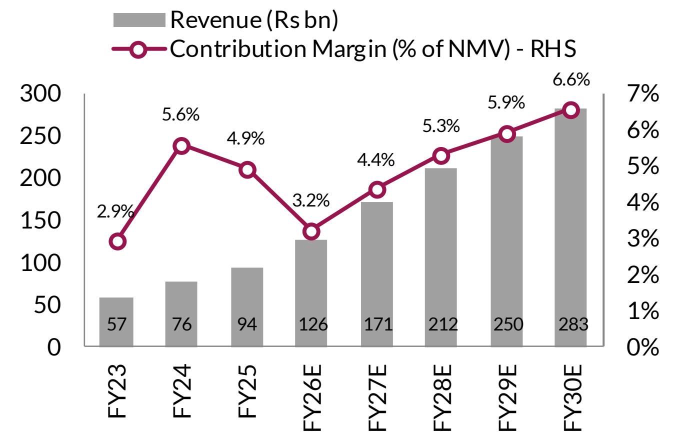

Source: Company, Axis Capital

### Exhibit 24: Logistics spread to reach 2.3% of NMV by FY28E



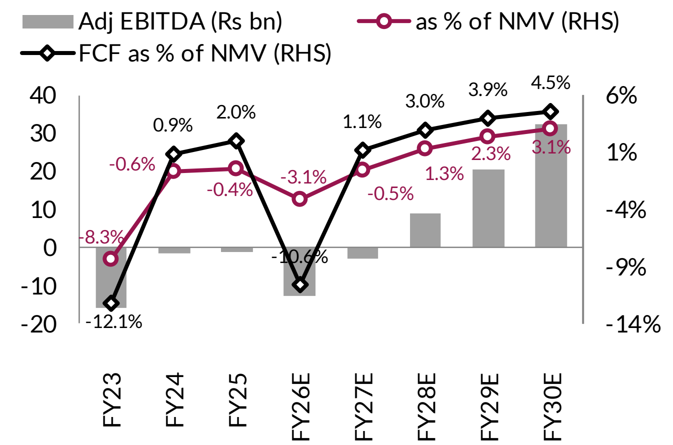

Source: Company, Axis Capital

### Exhibit 25: Contribution margin trends




Source: Company, Axis Capital

### Exhibit 26: Adj EBITDA and FCF margin trends




Source: Company, Axis Capital

## Executive Summary

*Meesho presents a compelling investment opportunity to gain exposure to e-commerce in India, as the largest e-commerce platform (by ATUs and volume). We initiate with a BUY rating and a TP of Rs195/share. Our TP is based on Mar'28E EV/Sales of 4x, which is at par with the B2C internet peers listed in India.*

Our BUY rating on Meesho is based on the following factors: (1) Meesho is best placed to capture India's structurally underpenetrated value-commerce opportunity, driven by non-electronics categories and Tier-2+ demand; (2) It is the clear leader in value commerce and faces little competition in the space (from value-commerce play of horizontals like Amazon Bazaar and Flipkart's Shopsy). Its ~25%+ share of industry shipments reflects unmatched scale in low-AOV, high-frequency transactions driven by its affordability flywheel. Meesho's cost structure, assortment depth, and pricing leadership are also structurally difficult for Amazon Bazaar and Shopsy to replicate; (3) TAM saturation fears seem overstated, with category wallet share analysis supporting a credible path to ~440mn ATUs by FY30E. Global examples such as Mercado Libre (MeLi) and Pinduoduo (PDD) show feasibility of high user penetration with continued user and order frequency growth; (4) Meesho's robust demand-side traction feeds into the ad-monetization flywheel, positioning ads as a key margin driver, drawing parallels from PDD's playbook and; (5) Stabilizing logistics spreads and rising ad intensity create strong operating leverage, supporting ~3% adj. EBITDA margins at scale.

### India's value commerce opportunity is structurally large and underpenetrated

India's e-commerce market (~Rs6tn GMV; USD70bn) is set to compound at ~20% over the next five years, disproportionately driven by non-electronics categories and Tier-2+ cities. Penetration in mass categories such as fashion, home, BPC and general merchandise remains low (under 5% in most cases), while logistics cost deflation and declining AOVs enable digital platforms to serve low-ticket, price-sensitive demand at scale. This makes value-focused, discovery-led e-commerce structurally suited to India's fragmented supply, unorganized retail base and affordability-led consumer behavior.

### Meesho is the scaled leader in value commerce, with the largest volume share

Meesho has emerged as the largest e-commerce platform in India (by users and order volumes), with ~265mn annual transacting users (ATUs) and ~2.6bn shipments in FY26E. This translates to over 25% share of total industry shipments, but only ~10% GMV share – reflecting its value-focused approach. Importantly, this divergence between volume and value is not a strategic shortcoming but an intentional outcome of its positioning: deep penetration in Tier-2+ markets by continuously improving affordability, leadership in unbranded and long-tail categories and a discovery-led shopping experience, all of which drive user penetration and higher purchase frequency. Meesho's scale therefore manifests not in headline GMV dominance, but in unmatched reach, depth of assortment and repeat usage among price-sensitive consumers – the cohort driving the next phase of Indian e-commerce growth.

### Key debate #1: Spending analysis and global examples show headroom for ATU growth

Concerns around Meesho's ability to sustain growth rate given its already-high user penetration overlook the affordability dynamics of its core consumer base. We believe Meesho has a credible path for ATUs to reach ~440mn by FY30E, implying ~45% smartphone penetration and ~75% TAM penetration – high, but structurally feasible in value commerce. Our sensitivity on TAM affordability using MOSPI's income & consumption expenditure spends (PFCE & MPCE) indicates a targetable population of ~560-580mn consumers, spanning the top 30% of rural households and 50% of urban households (from 30$^{th}$ decile to 80$^{th}$ decile). With AOV assumptions of Rs220-260 and net frequency of 6-11x between FY26-30E, Meesho's wallet share remains ~7-8% of its annual category spends (estimated at ~Rs14k/25k for rural & urban in FY26E growing ~6-8% YoY) across rural and urban TAM, which is well within absorbable limits even at scale.

Global analogues support this thesis: Mercado Libre and PDD have achieved 40-60%+ penetration of smartphone/internet access populations while still expanding shopper base and frequency at maturity. As cohorts mature, rising frequency offsets AOV deflation, allowing Meesho to grow NMV without stretching affordability.

### Key debate #2: How much can the margins expand? Ads are the unlock

Meesho's monetization is intentionally back-ended. Like PDD, it seems to have prioritized consumer habit, scale, and merchant density (high volume of sellers bidding for keywords in the same category) over early take-rates. With ~900k active sellers competing in overlapping long-tail categories and a closed-loop, high-intent search experience, Meesho is now structurally primed for ad monetization.

PDD's evolution demonstrates that once auction density builds, advertising can scale to ~4-5% of GMV, especially in search-led platforms. For quick-commerce, which is also heavily indexed on ad monetization, today sees ~6-7% of NMV as ad revenues having ramped up quickly in the last 1.5-2 years. Meesho's ads are already ~2/3% of GMV/NMV and we see a path to ~5-6% of NMV by FY30E as seller density moves up with the demand flywheel getting stronger.

We expect the company to stabilize logistics spreads at ~2–2.5% of NMV (and not increase beyond) in order to encourage higher seller traction and for them to offer expanding affordable assortment. Thus, ads become the key margin driver in this scenario given 100% pass-through to margin. We estimate marketplace adj. EBITDA margins of ~3% by FY30E, reframing ads as the primary profit engine in value commerce.

### Key debate #3: Meesho's moat in the segment is hard to replicate, keeping competitors at bay

Amazon Bazaar and Flipkart's Shopsy (the value plays from Amazon and Flipkart) underscore the attractiveness of the value segment, but both remain structurally disadvantaged. Their seller bases, catalogue architecture, and fulfilment economics are inherited from higher-ASP, branded commerce models, constraining depth and pricing below Rs200. Meesho, by contrast, was built ground-up for unbranded, long-tail supply, lowest seller costs, and a UX optimized for first-time, price-sensitive buyers rather than intent-driven search. On-ground price checks highlight Meesho being 30–40% cheaper on identical baskets, with deeper assortment and stronger seller competition. Combined with its scale-driven ad-monetization flywheel, this creates a defensible position in India's fastest-growing e-commerce cohort which is structurally difficult for incumbents to replicate.

### Global comparisons show that Meesho blends the strongest elements of successful value commerce models while avoiding their structural drawbacks

Mercado Libre demonstrates how owning logistics and payments can create a powerful moat in regions with weak third-party infrastructure, enabling it to outperform peers in LatAm. PDD shows a different but equally powerful path for ad monetization. It suppressed early monetization to build a sticky demand supply with higher frequency, merchant density, and closed-loop attribution, which later unlocks superior ads-led economics in low-ASP commerce.

In India, however, dense 3PL networks and ubiquitous UPI reduce the need for heavy capital deployment in logistics or payments, making Mercado Libre's vertically integrated model less optimal. Meesho has also started exploring BNPL (buy now, pay later) for deeper penetration in the lower end of the pyramid (the expansion, however, is not likely to be hinged on BNPL; check "key debate #1" on our TAM affordability sensitivity) and also to reduce return rates. Flipkart Shopsy and Amazon Bazaar highlight the limits of retrofitting value propositions onto platforms originally built for higher-ASP, branded e-commerce, resulting in shallower assortment and weaker price leadership at the true value end of the market. Meesho selectively adapts these global learnings – building PDD-like frequency and seller competition, layering monetization like PDD and Mercado Libre, while remaining asset-light – creating an optimized model that preserves affordability while still scaling monetization and margins.

## Valuation

Our Target Price of Meesho is Rs195/share. We value Meesho at 4x EV/Sales on FY28E, which is broadly in line with listed B2C internet peers. We expect Meesho to deliver a ~26% sales CAGR over FY26-28E vs ~25% for most B2C peers over the next two years, supported by a structurally larger addressable market and longer growth runway.

We expect Meesho to break even at adj EBITDA levels (for marketplace and consol) in FY28E at ~Rs8bn, implying 1.3% of NMV. Once logistics spreads stabilize at ~2.5% of NMV, they are expected to largely cover fixed operating costs – most notably A&P, which forms the highest proportion of fixed opex at 36% and is primarily customer acquisition spends (CAC) required to scale ATUs. Beyond this threshold, incremental growth in ad revenues should see high flow-through to adj EBITDA, driving operating leverage as the platform scales. By FY30E, we expect adj EBITDA margin for Meesho marketplace to reach ~3% of NMV.

Our enterprise value of ~Rs850bn (on 4x EV/Sales FY28E) implies FY28E 32x EV/EBITDA (when discounted back from FY30E at 10.5% WACC) which again is in line with B2C internet peers.

Unlike peers that primarily target the top bracket of India's income pyramid, Meesho addresses a much broader mass-market TAM, with growth driven by deeper penetration, rising frequency, and monetization rather than just discretionary spending.

Further, competitive intensity in value commerce remains relatively soft, given Meesho's strong moats driven by ground-up design for low-ASP, unbranded supply – supporting sustained growth and improving margin visibility as ads scale. In this context, our 4x EV/Sales multiple appropriately captures Meesho's superior growth sustainability, monetization inflection and differentiated market positioning.

### Exhibit 27: Meesho Target Price build-up

| | (Rs mn) | Valuation methodology |
|---|---|---|
| **Target EV/Sales(x)** | **4.0** | On Mar-28E; in line with B2C internet peers |
| Sales (Rs mn) | 2,12,426 | |
| Enterprise value (Rs mn) | 8,49,704 | |
| Net Debt | -72,531 | |
| Target equity value (Rs mn) | 9,22,235 | |
| **Target price (Rs/share)** | **195** | |

Source: Axis Capital

# Peer comparison

## Exhibit 28: Global peer comp

| | Mcap (USD mn) | EV/Sales (x) | | EV/EBITDA (x) | | P/E (x) | | ROE (%) | | Sales CAGR % | EBITDA CAGR % |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Companies** | | CY26/ FY27E | CY27/ FY28E | CY26/ FY27E | CY27/ FY28E | CY26/ FY27E | CY27/ FY28E | CY26/ FY27E | CY27/ FY28E | 2-yr CAGR | 2-yr CAGR |
| **India Newage** | | | | | | | | | | | |
| Zomato | 23,921 | 2.2 | 1.5 | 60.0 | 32.0 | 99.2 | 48.6 | 7 | 12 | 62 | 142 |
| Swiggy | 8,330 | 2.5 | 2.0 | na | 113.3 | na | na | na | na | 27 | na |
| PB Fintech | 7,392 | 7.6 | 5.9 | 56.1 | 31.2 | 62.2 | 43.2 | 15 | 18 | 30 | 93 |
| Paytm | 7,201 | 5.1 | 4.1 | 46.4 | 26.3 | 53.3 | 32.2 | 8 | 12 | 23 | 93 |
| Nykaa | 7,351 | 5.5 | 4.4 | 65.8 | 46.7 | 151.0 | 95.1 | 25 | 30 | 25 | 42 |
| FirstCry | 1,398 | 1.4 | 1.3 | 26.4 | 16.7 | na | 58.2 | 1 | 4 | 14 | 80 |
| MakeMyTrip | 3,901 | 3.4 | 2.9 | 17.9 | 13.5 | 18.6 | 17.2 | 44 | 60 | 20 | 31 |
| Ixigo | 811 | 4.7 | 3.7 | 49.1 | 30.8 | 54.4 | 36.3 | 12 | 15 | 24 | 72 |
| Physicswallah | 2,745 | 4.9 | 4.0 | 32.5 | 21.6 | 80.0 | 45.7 | 6 | 10 | 25 | 77 |
| Urban Company | 1,781 | 7.8 | 6.3 | na | 492.3 | na | 243.6 | na | na | na | na |
| ***Average*** | | ***4.5*** | ***3.6*** | ***44.3*** | ***82.4*** | ***74.1*** | ***68.9*** | ***15*** | ***20*** | ***28*** | ***79*** |
| ***Median*** | | ***4.8*** | ***3.9*** | ***47.8*** | ***31.0*** | ***62.2*** | ***45.7*** | ***10*** | ***13*** | ***25*** | ***78*** |
| **Global peers** | | | | | | | | | | | |
| PDD | 1,38,494 | 1.1 | 1.0 | 4.5 | 4.0 | 7.7 | 6.6 | 25 | 23 | 14 | 18 |
| Shopee | 47,332 | 1.1 | 1.0 | 8.2 | 6.5 | 16.2 | 13.0 | 16 | 17 | 19 | 27 |
| Mercado | 84,436 | 1.9 | 1.6 | 13.3 | 10.3 | 21.8 | 16.4 | 35 | 37 | 21 | 32 |
| Meituan | 61,435 | 0.8 | 0.7 | 40.0 | 7.9 | na | na | na | na | 13 | na |
| Alibaba | 2,97,257 | 1.4 | 1.3 | 8.7 | 6.7 | 15.4 | 13.1 | 10 | 12 | 11 | 33 |
| JD.com | 39,944 | 0.1 | 0.1 | 4.2 | 3.4 | 7.0 | 5.8 | 15 | 15 | 5 | 36 |
| ***Average*** | | ***1.1*** | ***0.9*** | ***13.1*** | ***6.5*** | ***13.6*** | ***11.0*** | ***20*** | ***21*** | ***14*** | ***29*** |
| ***Median*** | | ***1.1*** | ***1.0*** | ***8.4*** | ***6.6*** | ***15.4*** | ***13.0*** | ***16*** | ***17*** | ***13*** | ***32*** |
| **India value retailers** | | | | | | | | | | | |
| Vishal Mega Mart | 5,101 | 3.2 | 2.7 | 21.8 | 18.4 | 45.5 | 37.6 | 14 | 15 | 18 | 18 |
| Trent | 13,503 | 5.2 | 4.6 | 29.8 | 30.1 | 57.8 | 47.4 | 27 | 27 | 17 | 10 |
| Bazaar Style | 193 | 1.1 | 0.9 | 7.3 | 5.6 | 27.0 | 17.3 | 12 | 15 | 29 | 32 |
| V2 Retail | 744 | 1.8 | 1.2 | 13.0 | 9.0 | 23.8 | 16.0 | 25 | na | na | 47 |
| V-Mart Retail | 433 | 1.1 | 0.9 | 8.1 | 6.8 | 27.4 | 20.2 | 14 | 17 | 16 | 19 |
| DMART | 26,184 | 3.0 | 2.6 | 39.3 | 34.1 | 66.5 | 57.5 | 14 | 14 | 17 | 18 |
| ***Average*** | | ***2.6*** | ***2.2*** | ***19.9*** | ***17.3*** | ***41.3*** | ***32.7*** | ***18*** | ***18*** | ***19*** | ***24*** |
| ***Median*** | | ***2.4*** | ***1.9*** | ***17.4*** | ***13.7*** | ***36.4*** | ***28.9*** | ***14*** | ***15*** | ***17*** | ***18*** |

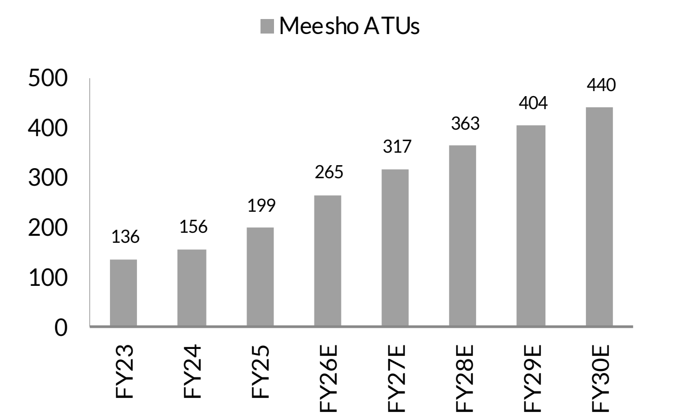
Source: Company, Axis Capital

## How large really is Meesho? – Very

*Meesho is the largest e-commerce shopper in India, based on number of users and orders. Our estimates suggest that it comprises nearly 30% of the total internet users and over 80% of e-commerce shoppers. In fact, its order volume is 25%+ of the e-commerce shipments in India and ~10% of the e-commerce GMV (as per Redseer industry size estimates).*

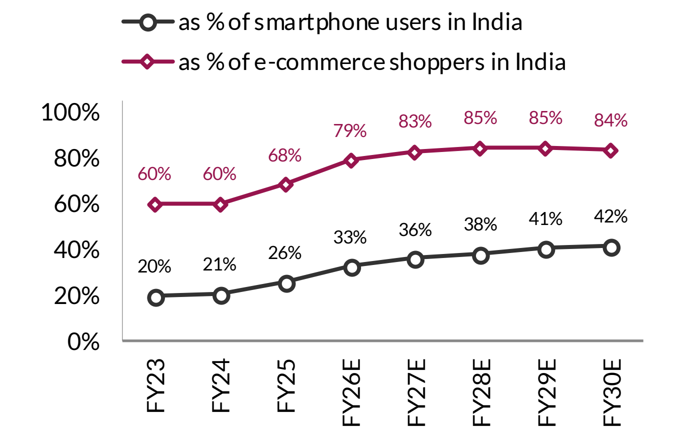
**Meesho has ~251mn ATUs as of Dec'25, which is ~30%+ of smartphone users in India. This needs to be seen in the context of the terminal period smartphone penetration on account of the income pyramid. We estimate that this penetration can reach ~45%, implying ~440mn ATUs, by FY30E.**

**Exhibit 29: Meesho's ATU (mn)**




Source: Company, Axis Capital

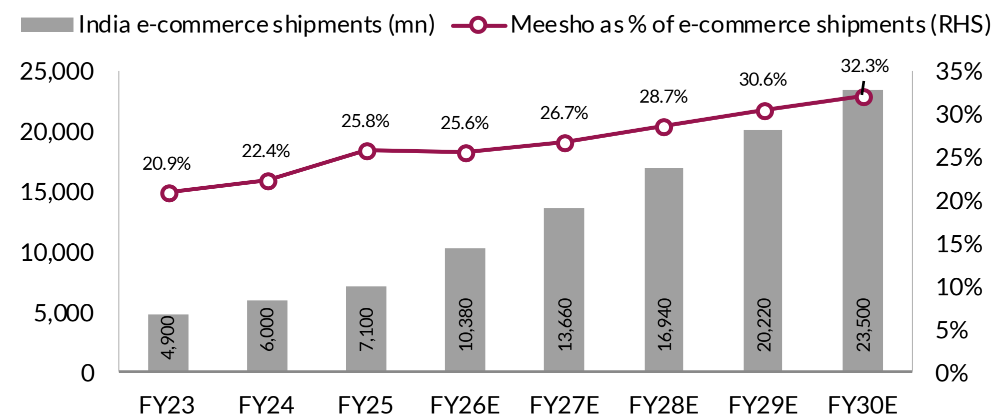
**Exhibit 30: Meesho already covers a large part of TAM**




Source: Company, Axis Capital

**In terms of order volumes, Meesho is estimated to witness ~2.6bn shipments in FY26E, over 25% of all e-commerce shipments in India (Redseer est. for total industry volumes at 10.4bn). Given the rising ATU base and maturing cohorts, Meesho's volume share is expected to grow to ~35% by FY30E.**

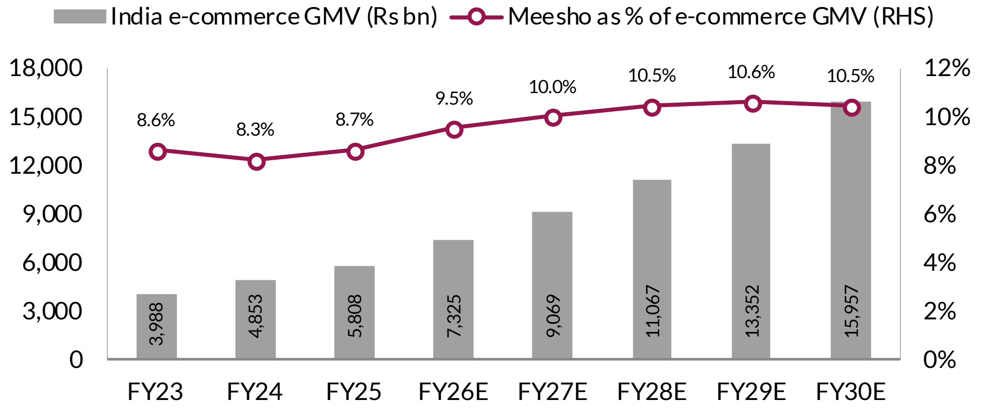
**Exhibit 31: Meesho's order volume, at ~2.6bn, is over 25% of India e-com shipments**




Source: Redseer, Company, Axis Capital

**However, since Meesho has a proposition for value-seeking shoppers, its AOVs are meaningfully lower than peers (Rs260 vs industry AOV of Rs700-1.2k). Thus, its value market share in FY26E is ~10% vs its volume market share of ~25%. While lower than its volume share, a 10% value share of the market is in itself quite commendable.**

### Exhibit 32: Meesho GMV, at USD7bn, is ~10% of e-commerce GMV in India




Source: Redseer, Company, Axis Capital

We believe Meesho's AOV is likely to decline, given the price sensitive nature of users and its plan to penetrate deeper into the income pyramid. Thus, value share for Meesho should remain flattish (up 1% from FY26-30E) while its volume share (placed orders) moves up meaningfully – (~7% from FY26-30E) as it gains ATUs and users mature on the platform over time – resulting in higher frequency, growing faster than the industry (~26% CAGR FY26-30E vs 22% for the industry).

### What does this large scale mean for its TAM?

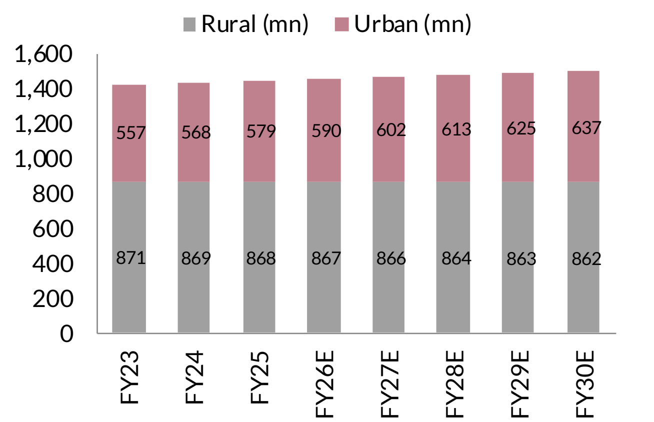
A key investor debate with Meesho has been its already-high penetration into TAM, given its current ATUs. We believe it should be able to achieve ~440mn ATUs in the next 4-5 years (from ~265mn today) while maintaining its maturing user cohort and rising order frequency.

We believe anyone who can spend over Rs4k per month is a potential Meesho customer, as their spend on Meesho would then form 3-5% of total spends, implying most of their 'e-commerce/digital' spends. We believe this is quite reasonable.

India has a population of ~1.4bn, of which ~60% can be classified as rural and 40% as urban. Using MPCE data, and based on the above assumption, the top 30 percentile of rural, and middle 50 percentile of urban can be targeted in our view. Hence, we believe Meesho can target ~30% of the rural population of ~870mn, and about ~70% of the urban population of ~590mn.

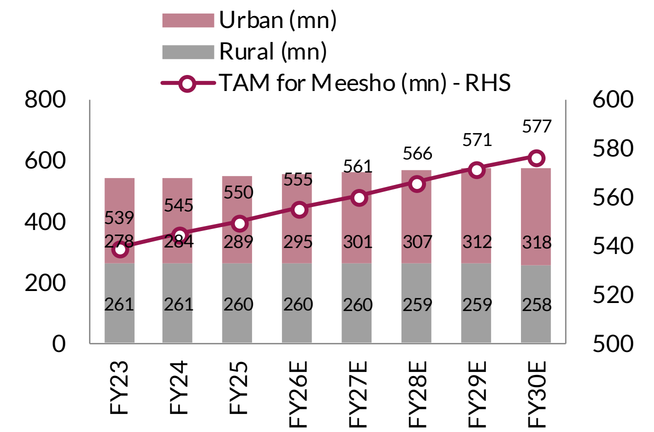
As a result, the TAM for Meesho in FY26E comes to ~555mn, increasing to ~580mn in 5 years assuming a ~0.7% YoY growth in population. Note that this is relatively conservative as it does not factor in the actual increase in the population set from any increase in income level, which would put a greater percentage of the population in the bracket.

### Exhibit 33: India's population – rural forms ~60%




Source: Company, Axis Capital

### Exhibit 34: Meesho's TAM is ~560-580mn

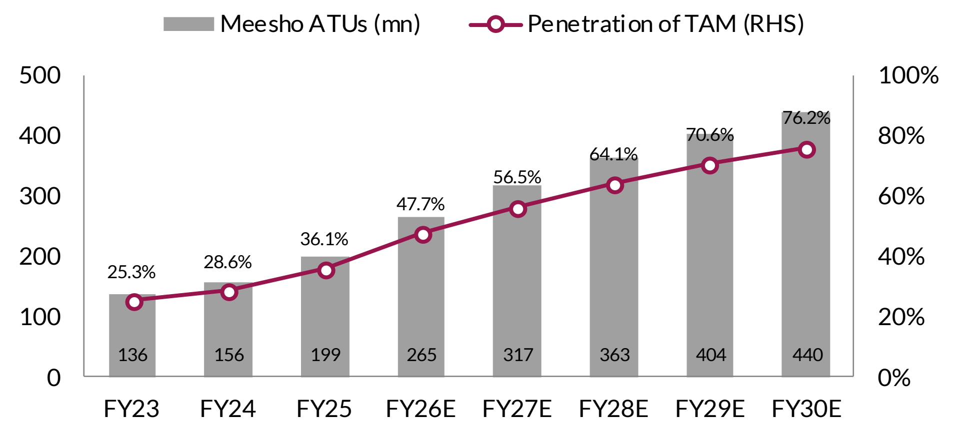



Source: Company, Axis Capital

With a TAM of 555mn in FY26, Meesho's implied penetration, at ~48%, is 265mn ATUs. 440mn ATUs by FY30E, thus implies a ~75% penetration level. This appears high but needs to be seen in the global context of value commerce (detailed in other sections).

*Meesho is well penetrated into its TAM; currently at 48%+, will reach ~76%+ as it expands to 440mn ATUs in 5 years*

### Exhibit 35: Meesho: ATU as % of its TAM




Source: Company, Axis Capital

Though this penetration may appear deep, we try to assess its feasibility below, by looking at the adoption from a value perspective.

**We try to answer the question 'Will the 440$^{th}$mn user on Meesho have the affordability to spend?'**

To this end, we look at MPCE spends for the relevant categories like clothing, glassware, tableware and household utensils, tools and equipment for house & garden, personal care. This, at an aggregate, amounts to ~Rs35tn of spends (FY26E is an AxisCap estimate, using a 2x multiplier for MPCE data given MPCE-PFCE divergence; ~Rs28/30tn in FY23/FY24). Previous disclosures and our estimates suggest that the rural-urban split in expenditures is roughly 30:70.

Thus, for a **rural user**,

- Basis above, we get an aggregate rural spend of ~Rs4tn (assuming a targetable population of ~260mn i.e. 30% of the total rural population of 867mn), which implies ~Rs15k per capita per year in FY26E.

- Assuming Meesho's AOV of ~Rs265 (FY26E) and an annual ordering frequency of ~6x (net of returns, cancellations, return to origin - RTOs), we get a yearly spend of Rs1.6k on the platform.
- Thus, yearly spend of Rs1.6k on Meesho would imply ~10% of a rural person's annual spends on relevant categories going to Meesho. This remains in the 10-11% range even in FY30E. This seems quite absorbable.

### Exhibit 36: Sensitivity on rural TAM for Meesho: builds confidence on affordability

| Rural | FY23 | FY24 | FY25E | FY26E | FY27E | FY28E | FY29E | FY30E |
|---|---|---|---|---|---|---|---|---|
| Targetable spends (Rs bn) | 3,171 | 3,387 | 3,671 | 3,980 | 4,317 | 4,684 | 5,086 | 5,525 |
| Per capita per year (Rs) | 12,141 | 12,987 | 14,093 | 15,300 | 16,619 | 18,063 | 19,643 | 21,374 |
| AOV (Rs) | 337 | 298 | 274 | 263 | 248 | 239 | 229 | 220 |
| Annual Frequency (net of returns, cancellations, RTOs) | 4.2 | 5.0 | 5.5 | 5.9 | 7.0 | 8.2 | 9.5 | 10.8 |
| Spend on Meesho per year (Rs) | 1,410 | 1,493 | 1,509 | 1,549 | 1,737 | 1,957 | 2,176 | 2,372 |
| ***% of total spends*** | ***11.6%*** | ***11.5%*** | ***10.7%*** | ***10.1%*** | ***10.5%*** | ***10.8%*** | ***11.1%*** | ***11.1%*** |

Source: Company, Axis Capital

Similarly, for an **urban user**,

- The aggregate urban spend for relevant categories is at ~Rs8tn which implies ~Rs27k per capita per year (assuming a targetable population of ~295mn, i.e. 50% of the total urban population of 590mn) in FY26E.
- Assuming the same AOV of Rs265 and an annual ordering frequency of ~6x (net of returns, cancellations, RTOs) on Meesho, we get a yearly spend of Rs1.6k on the platform.
- Thus, using the same estimate of yearly spend of Rs1.6k as in the case of rural users on Meesho would imply ~6% of the urban person's annual spends on relevant categories going to Meesho. This remains in the 6-7% range even in FY30E. This seems quite absorbable.

### Exhibit 37: Sensitivity on urban TAM for Meesho builds confidence on affordability

| Urban | FY23 | FY24 | FY25E | FY26E | FY27E | FY28E | FY29E | FY30E |
|---|---|---|---|---|---|---|---|---|
| Targetable spends (Rs bn) | 6,346 | 6,780 | 7,347 | 7,966 | 8,640 | 9,376 | 10,180 | 11,059 |
| Per capita per year (Rs) | 22,804 | 23,888 | 25,386 | 26,993 | 28,720 | 30,577 | 32,576 | 34,728 |
| AOV (Rs) | 337 | 298 | 274 | 263 | 248 | 239 | 229 | 220 |
| Annual Frequency (net of returns, cancellations, RTOs) | 4.2 | 5.0 | 5.5 | 5.9 | 7.0 | 8.2 | 9.5 | 10.8 |
| Spend on Meesho per year (Rs) | 1,410 | 1,493 | 1,509 | 1,549 | 1,737 | 1,957 | 2,176 | 2,372 |
| ***% of total spends*** | ***6.2%*** | ***6.2%*** | ***5.9%*** | ***5.7%*** | ***6.0%*** | ***6.4%*** | ***6.7%*** | ***6.8%*** |

Source: Company, Axis Capital

Performing the same exercise to look at **aggregate (urban and rural)**

- The aggregate spend for relevant categories is ~Rs12tn, which implies ~Rs22k per capita per year (assuming a targetable population of ~555mn – 260mn rural + 295mn urban) in FY26E.
- Assuming the same AOV of Rs265 and an annual ordering frequency of ~6x (net of returns, cancellations, RTOs) on Meesho, we get a yearly spend of Rs1.6k on the platform.
- Thus, a yearly spend of Rs1.6k on Meesho would imply ~7% of an average person's annual spends on relevant categories going to Meesho. This remains in the 7-8% range even in FY30E.
  - Thus, this seems quite absorbable and further strengthens our confidence on the targeted ~440mn ATUs.

### Exhibit 38: Sensitivity on TAM builds confidence on affordability

| Total | FY23 | FY24 | FY25E | FY26E | FY27E | FY28E | FY29E | FY30E |
|---|---|---|---|---|---|---|---|---|
| TAM ATUs (mn) | 539 | 545 | 550 | 555 | 561 | 566 | 571 | 577 |
| Meesho's ATUs (mn) | 136 | 156 | 199 | 265 | 317 | 363 | 404 | 440 |
| *as % of TAM* | *25.3%* | *28.6%* | *36.1%* | *47.7%* | *56.5%* | *64.1%* | *70.6%* | *76.2%* |
| Targetable spends (Rs bn) | 9,517 | 10,167 | 11,018 | 11,946 | 12,957 | 14,060 | 15,266 | 16,584 |
| Per capita per year (Rs) | 17,642 | 18,668 | 20,036 | 21,515 | 23,113 | 24,843 | 26,715 | 28,745 |
| AOV (Rs) | 337 | 298 | 274 | 263 | 248 | 239 | 229 | 220 |
| Annual Frequency (net) | 4.2 | 5.0 | 5.5 | 5.9 | 7.0 | 8.2 | 9.5 | 10.8 |
| Spend on Meesho per year (Rs) | 1,410 | 1,493 | 1,509 | 1,549 | 1,737 | 1,957 | 2,176 | 2,372 |
| ***% of total spends*** | ***8.0%*** | ***8.0%*** | ***7.5%*** | ***7.2%*** | ***7.5%*** | ***7.9%*** | ***8.1%*** | ***8.3%*** |

Source: Company, Axis Capital

## Case study #1 – Mercado Libre

Mercado Libre is primarily an e-commerce player that has combined e-commerce marketplace (Mercado Libre), fintech & digital banking (Mercado Pago), logistics (Mercado F:\Telecom new\Meesho\IC), credit (Mercado Credito) and advertising (Mercado Ads) on one platform.

It is positioned as Latin America's dominant end-to-end digital commerce and financial services ecosystem. Rather than being just an e-commerce marketplace, it positions itself as the "digital backbone of Latin America". The platform integrates commerce, payments, logistics, credit and digital banking into a single, self-reinforcing flywheel. Mercado Libre positions itself as a homegrown champion deeply tuned-in to Latin America's economic realities – unbanked populations, fragmented logistics and cash-heavy economies.

**Timelines:**

- **1999-2002:** Marketplace
- **2003-2009:** Payments (Mercado Pago)
  - Initially created to solve low credit-card penetration and enable safer online transactions.
- **2010-2016:** Ecosystem (Mercado Shops, Mercado Ads, Mercado Credito)
  - Mercado Shops introduced, enabling sellers to create branded online stores powered by Mercado Libre infrastructure.
  - Mercado Ads rolled out as a performance-led ad network for merchants.
  - Mercado Crédito gradually launched to offer working-capital and consumer loans using first-party transaction data.
- **2017-2020:** Logistics & fintech acceleration (Mercado Envíos)
  - Mercado Envíos (Logistics) scaled aggressively to address Latin America's chronic last-mile gaps by building owned fulfilment centers, air cargo (Meli Air), and pick-up points (Meli Places). This became a major competitive moat versus Amazon in LatAm.
- **2020-2024:** Super-App Expansion
  - Mercado Pago grows into a full digital bank, adding:
    - QR payments, Merchant acquiring, Investment accounts, Consumer & merchant credit, Wallet & banking services – becoming one of the largest fintech ecosystems in LatAm.
  - Mercado Envíos reaches deep operational integration, enabling same- and next-day deliveries in urban areas.

**The leading e-commerce platform in Latin America**

Mercado Libre positions itself as the e-commerce leader across 18 Latin American countries, with a large user base and the region's highest market share. It has evolved from an eBay-style marketplace into a full commerce ecosystem with logistics (Mercado Envíos), storefront tools (Mercado Shops), and advertising (Mercado Ads).

**A full-stack fintech powerhouse (Mercado Pago)**

One of its biggest strategic differentiations has been its fintech vertical, Mercado Pago, which started as a payments facilitator and now operates as a full-stack digital bank offering payments, QR wallets, credit, asset management, and merchant financing. Mercado Libre leverages this to position itself not merely as a retailer, but as a financial inclusion engine in a region underserved by traditional banks.

**A deeply integrated digital ecosystem**

Mercado Libre's competitive positioning relies on tight integration across its ecosystem:

- Commerce drives traffic and transactions
- Fintech monetizes payments, deposits, lending
- Logistics improves speed, cost, reliability
- Ads enhance seller performance and increase take rates

This integration, described as a "platform-driven expansion" model, has created strong network effects and widened barriers to entry.

**All-in-One LatAm Platform – "Amazon + PayPal + Square + Affirm + FedEx"**
Reports frequently describe Mercado Libre's positioning as a convergence of multiple global business models at once:

- Marketplace like Amazon/eBay
- Payments and wallet like PayPal
- Merchant services like Square
- Consumer/merchant lending like Affirm
- Logistics like FedEx

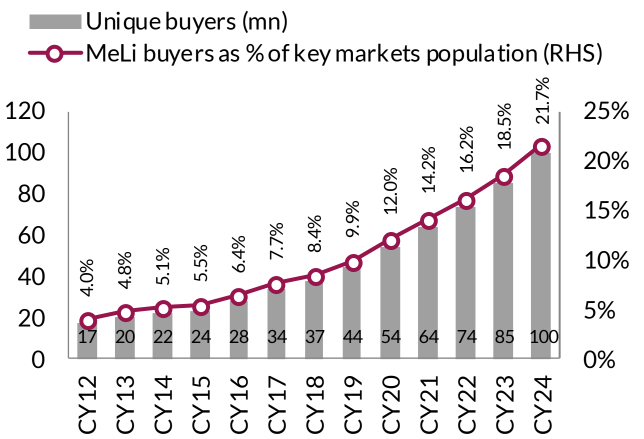
This hybrid model positions Mercado Libre uniquely versus global peers and local competitors such as Nubank or Shopee.

Thus, Mercado Libre is positioned as Latin America's fully-integrated digital economy platform, combining e-commerce, fintech, logistics, and digital services into a single ecosystem that addresses the region's structural gaps in retail and financial access.

## Drawing parallels

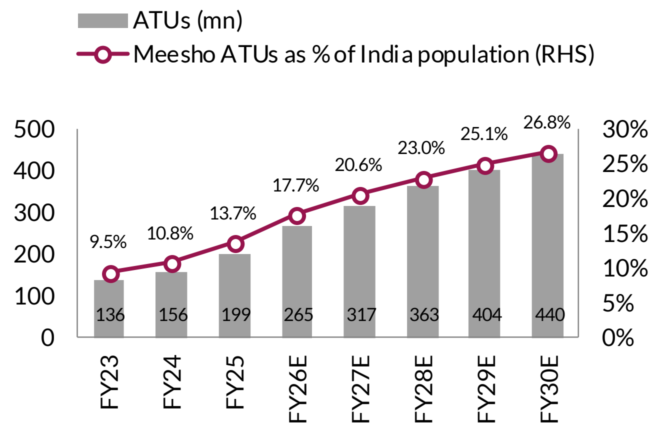
**On scale – penetration**
We see that Mercado Libre's unique buyers are ~16/22% of population in its total/key markets as of 2024. This is higher than Meesho's ~11% for ATUs as a percentage of India's population. However, this is natural given that India's population has a much larger unserviceable TAM. Thus, at current adoption levels, both Mercado and Meesho are at similar levels of population penetration at ~18-20% of population.

**Exhibit 39: MeLi's buyers as % of population**




Source: Company, Axis Capital; Note: Key markets here include Argentina, Brazil, Chile, Colombia & Mexico forming over 95% of the marketplace revenues
MeLi: Unique buyers as % of population of key markets

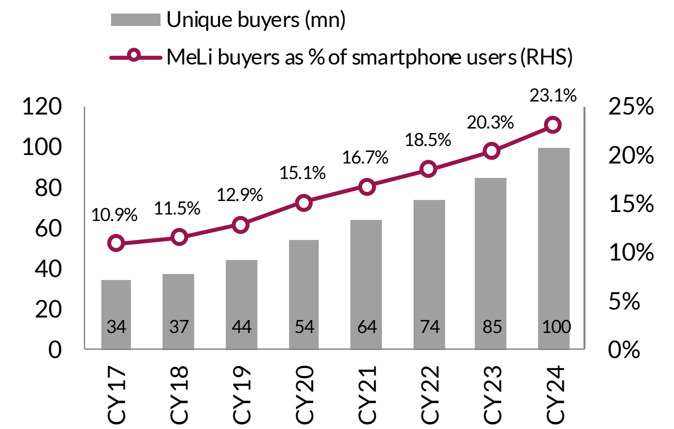
**Exhibit 40: Meesho ATUs as % of India's population**




Source: Company, Axis Capital

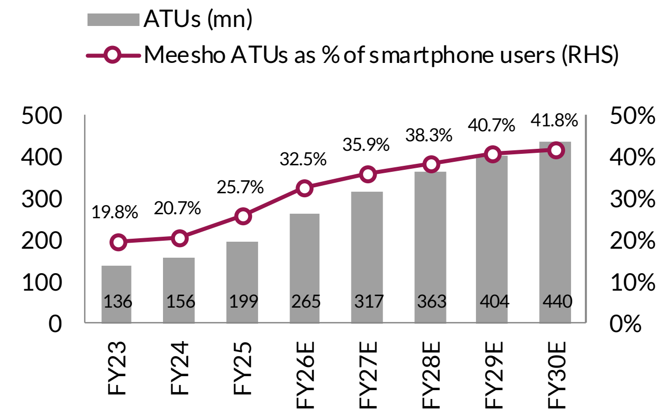
Digging slightly deeper, we also look at penetration as % of smartphone users. Here too, Meesho is at par with Mercado Libre– at ~23-24% currently. Interestingly, after operating for over 25 years in LatAm, its unique buyers continue to grow at 16-17% YoY (in the last 6-7 years), which is broadly similar to the growth we expect for Meesho in the longer run (post FY30E).

### Exhibit 41: MeLi's buyers as % of smartphone users




Source: Company, Axis Capital

### Exhibit 42: Meesho ATUs as % of smartphone users

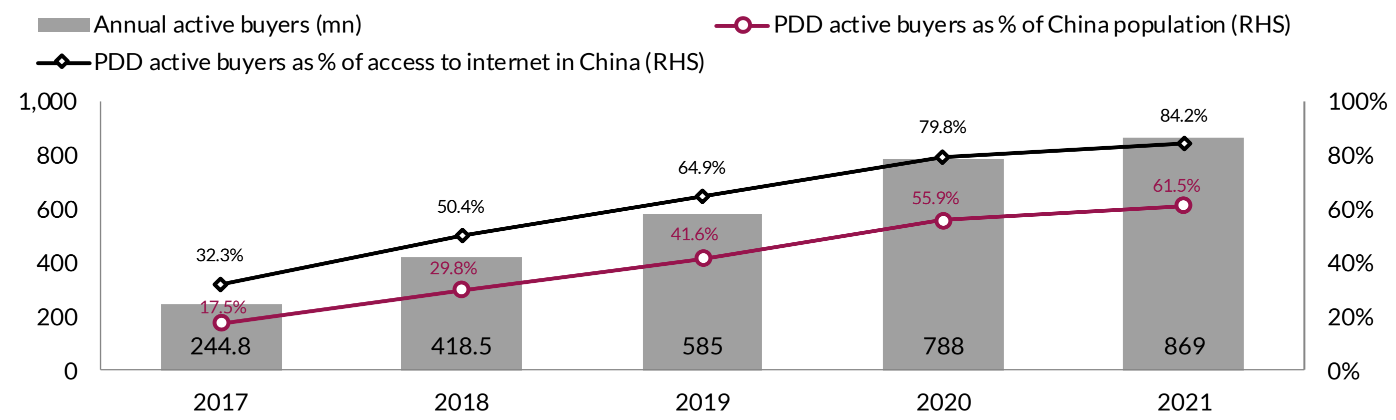



Source: Company, Axis Capital

Our longer-term estimate of Meesho's 440mn ATUs in FY30E implies ~42% smartphone penetration and ~75% TAM penetration (targetable urban + rural users; section above; check: 'How large really is Meesho?').

In fact, for similar platforms like PDD in China, we see the penetration of active buyers reach 60%+ of population with internet access. Thus, the 42% seems achievable as Meesho treads a similar path.

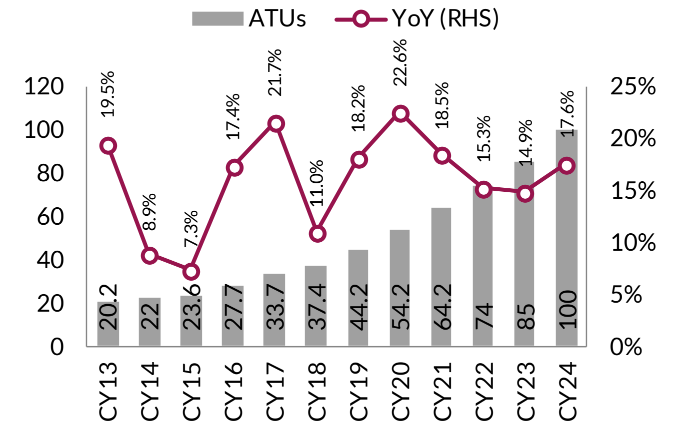
### Exhibit 43: PDD is deeply penetrated into China's population




Note: PDD stopped reporting active buyers post 2021

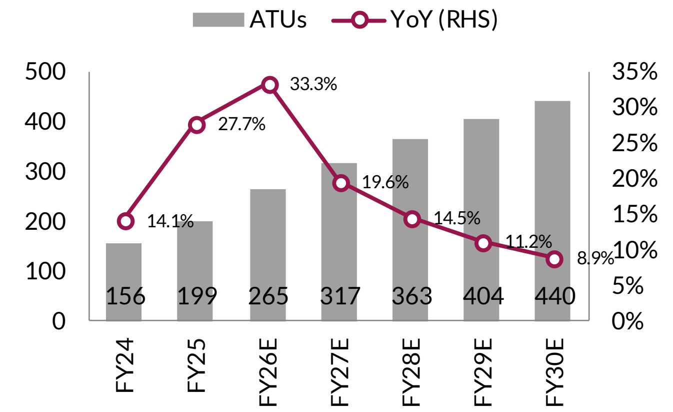
Source: World bank, Company, Axis Capital

### Exhibit 44: MeLi YoY ATU growth stays 15-17%




Source: Company, Axis Capital

### Exhibit 45: Meesho YoY ATU growth should sustain



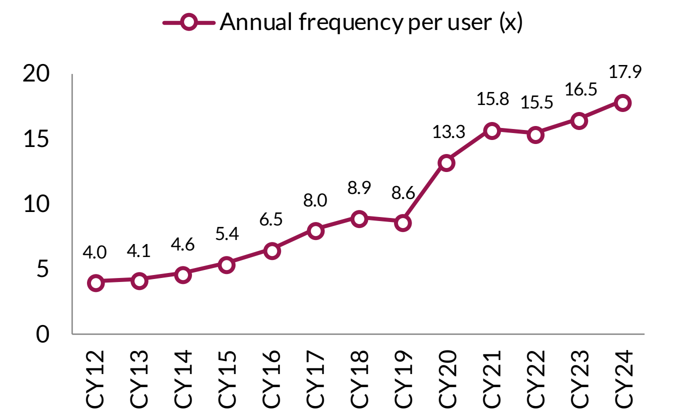

Source: Company, Axis Capital

## Frequency and average order value (AOV)

In our conversations, investors alluded to some skepticism around the high order frequency on the platform. The annual gross frequency for Meesho is currently at ~10x, which is ~6x in FY26E wrt 'successful' orders (ex-cancellations, returns, and RTOs).

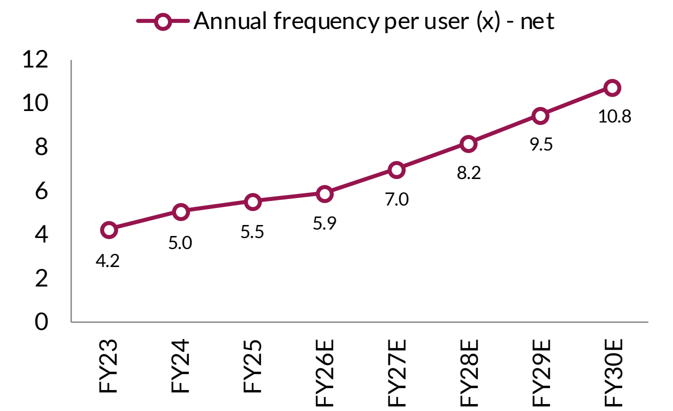
Mercado Libre's annual user frequency was ~18x in 2024, which is meaningfully high but continued to grow steadily over the last two decades. While Covid did help bump this up, frequency grew 2x even pre-Covid – from 4x to 8x between 2012 and 2017.

### Exhibit 46: MeLi frequency continues to rise




Source: Company, Axis Capital; Note: Calculated as no. of successful items sold divided by unique buyers

### Exhibit 47: Meesho's frequency has room to increase



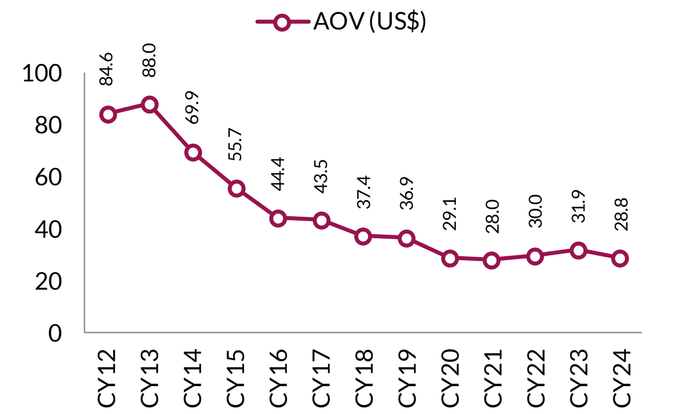

Source: Company, Axis Capital; Note: Frequency ex of cancellations, RTOs & refunds

Interestingly, as per media reports, Mercado Libre's cart size continues to increase while its per-item-value decreases. We see that the average value of items sold (Gross Merchandise Volume divided by number of successful items sold) reduced 66% between 2012 and 2024.

MeLi has been able to increase its cart size over the years by expanding its logistics network for faster delivery (allowing for larger, more diverse purchases) and deepening its loyalty ecosystem through Meli+. It expanded its loyalty program to new countries, bundling free shipping with entertainment services like Disney+, encouraging larger orders to maximize shipping benefits. However, given the scale, rising seller base, and its resultant ability to reduce logistics costs, we see the average value per order sold declining over the years.

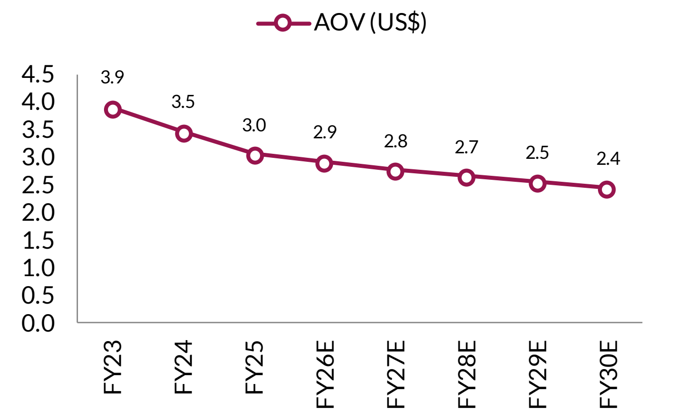
Additionally, it expands its addressable population, penetrating deeper through its fintech arm 'Pago' which enables consumer credit, wallet, etc. This is similar to what we expect to see with Meesho – its seller base expanding, leading to a larger assortment – and with downward expansion of ATUs – its average item value coming off.

**Exhibit 48: MeLi's AOV dropped ~66% from 2012**




Source: Company, Axis Capital; Note: Calculated as GMV divided by no. of successful items sold

**Exhibit 49: Meesho should continue to reduce**




Source: Company, Axis Capital

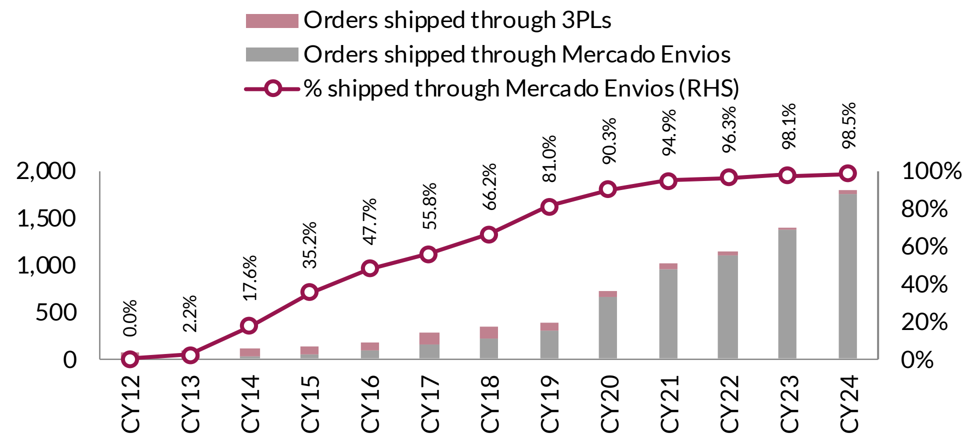
## Logistics

As the platform scaled and consumer adoption accelerated, logistics and payments were two major bottlenecks limiting online commerce. To address these gaps, Mercado Libre expanded beyond being a pure marketplace, first entering fintech with Mercado Pago (integrated payments solution) designed to improve trust and enable secure transactions in markets with low card penetration.

The success of Mercado Pago laid the groundwork for the company's next expansion – logistics. Given Latin America's underdeveloped transportation networks and unreliable 3-PL delivery systems, Mercado Libre needed tighter operational control to ensure faster, more predictable fulfillment. This led to the launch of Mercado Envíos in 2013, turning the company into a full-stack commerce platform.

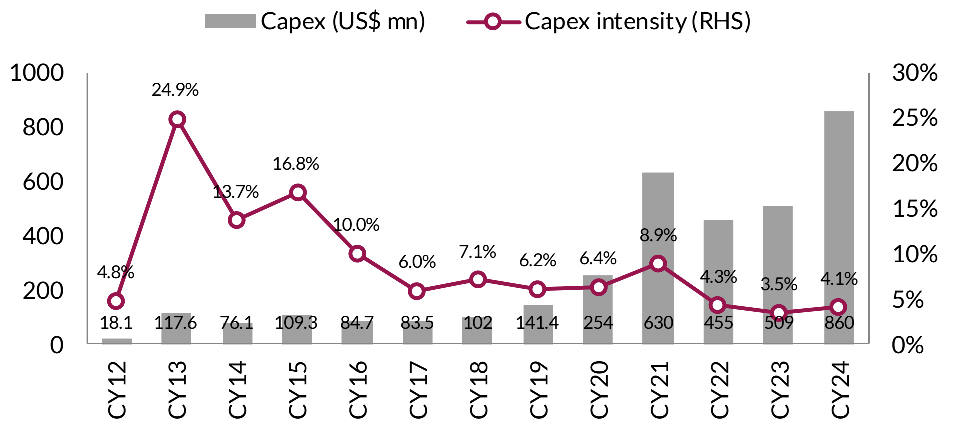
With Mercado Envíos, Mercado Libre began managing logistics in house, reducing dependence on external couriers and improving delivery reliability. The network expanded quickly, adding sorting centers, modern fulfillment hubs, and a proprietary delivery fleet. This integrated network has enabled same-day and next-day shipping/deliveries across key metros, improving customer experience and reinforcing Mercado Libre's competitive advantage.

### Exhibit 50: MeLi's in-house logistics helped improve operational control




Source: Company, Axis Capital

### Exhibit 51: MeLi spent ~USD3.4bn as capex on building out its logistic arm




Source: Company, Axis Capital

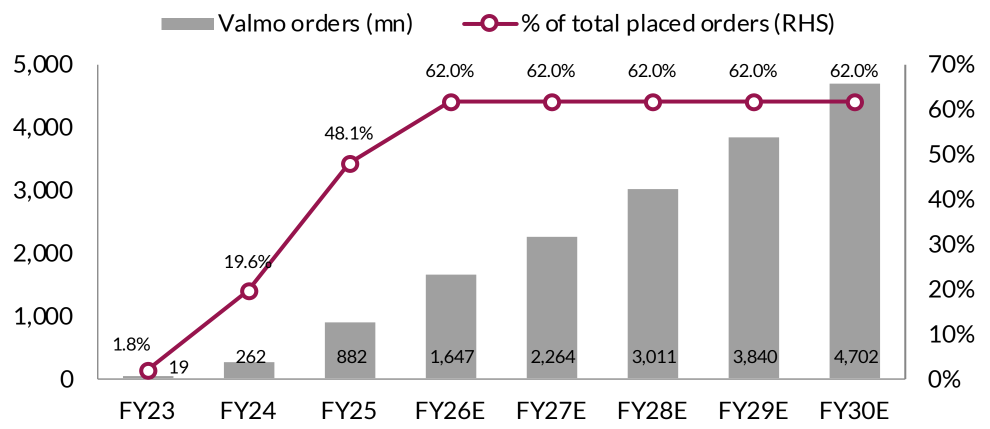
**Meesho v/s MeLi logistics strategy**

Meesho runs a tech-led, asset-light orchestration model optimized for low-AOV India value commerce, while Mercado Libre runs a capital-intensive, Amazon-like logistics network built to overcome LatAm's structural infrastructure gaps.

Meesho runs a platform-based, asset-light logistics model, relying heavily on third-party logistics partners for pickup, transportation, and last mile. Its in-house logistics layer – Valmo – is more of a consolidation layer, not a fully owned physical network. Meesho does not own warehouses, fulfillment centers, fleets, or air cargo infrastructure. It is designed for low-AOV, long-tail, small-parcel shipments. This keeps Meesho extremely cost-efficient and capital-light as it scales.

India already has deep third-party parcel networks (Delhivery, Ecom Express, Shadowfax, Xpressbees etc.), enabling high serviceability even for low-ticket items. Meesho focuses on value commerce – low ASPs, high seller fragmentation – thus prioritizing cost optimization over speed. Building a full-stack operation (like MeLi) would be dilutive to its unit economics due to low AOVs, fragmented supply, and very high order dispersion.

### Exhibit 52: Valmo volumes expected to remain ~60-65% range




Source: Company, Axis Capital

Mercado Libre built a vertically-integrated stack to fix regional structural gaps. LatAm historically had weak third-party logistics, an unreliable last-mile, low transparency, and high fraud risk. To improve conversion, reliability, and delivery speeds, Mercado Libre had to build its own network. Logistics thus became its competitive moat against Amazon in LatAm – improving conversions, reducing cancellations, driving loyalty, and enabling its same-day and next-day deliveries.

Finally, the difference in strategies is also explained by the products and categories that both focus on. Meesho focuses on unbranded fashion, home & kitchen, and BPC. These categories are high-volume, low-AOV, long tail, and price sensitive – which makes cost a primary value proposition, not speed. Mercado Libre, on the other hand, is present in categories like electronics, higher-ticket items, and branded goods – where speed and reliability matter more, justifying the heavy investment in infrastructure.

**Recent pressure from competition**

Competition in LatAm is forcing Mercado Libre to convert its scale into faster delivery, richer merchant services, and diversified monetization (ads + fintech). Those initiatives are designed to protect its logistics moat and customer stickiness while buying time and capability to absorb aggressive pricing moves from deep-pocket rivals.

**Multi-vector rivalry:** Mercado Libre is being challenged simultaneously on logistics, pricing, advertising dollars, and payments. Amazon is accelerating its Brazil push with aggressive seller incentives and fee waivers, while Shopee pursues market share through heavy promotions, and Temu/Shein pressure price-sensitive segments with ultra-cheap SKUs.

**Market concentration:** Brazil is the strategic battleground – it accounts for the largest share of Mercado Libre's buyers and GMV, so any moves there by Amazon or Shopee have outsized impact on MeLi's regional performance.

**What competitors are doing:**

- **Amazon:** Waiving/subsidizing fulfilment fees and onboarding sellers with reduced take-rates to rapidly scale marketplace liquidity; expanding local fulfilment to cut delivery times and capture seller ad spend.
- **Shopee:** Running sustained discount campaigns, seller subsidies, and localized marketing to grow GMV quickly and pressure incumbents on price and volume.
- **Temu and Shein:** Flooding the market with low-cost imports that reset consumer price expectations and force incumbents to defend low-price segments or cede volume.

**Key areas of competition:**

- **Price and promotions**: Fee waivers and subsidized logistics from deep-pocket entrants can undercut marketplace economics and force temporary price parity. To retain sellers and maintain assortment depth, MeLi adjusts seller economics (discounts, promotions) rather than cede inventory to entrants who undercut on fees.
- **Logistics and delivery speed**: Faster last-mile delivery converts better; Mercado Libre's logistics network is a core moat, but competitors are investing to narrow the gap. MeLi has expended same/next-day delivery and lowered fee-shipping thresholds to keep conversion high and reduce incentives for its users to switch to rivals. It also continues to invest in distribution centers, air hubs, and last-mile fleets to sustain speed advantage and absorb higher volumes.
- **Fintech integration**: Mercado Pago gives MeLi higher customer stickiness through payments, credit, and merchant services; rivals are forming partnerships or building their own fintech stacks to compete.
- **Ad monetization**: Marketplaces are monetizing seller and brand demand for visibility; ad revenue is an emerging, high-margin line that incumbents and entrants alike are chasing. MeLi is expanding ad formats and ad placement options to capture brand and FMCG ad spend; ad revenue is becoming an important, higher-margin line that offsets pressure on take-rates. Beyond ads, MeLi is optimizing fees across marketplace, logistics, and value-added services to diversify revenue and reduce reliance on pure GMV growth.
- **Short term advantage – Amazon**: Deep pockets allow aggressive subsidies and rapid logistics build-out, making Amazon the most dangerous near-term challenger in Brazil.
- **Structural advantage – Mercado Libre**: MeLi's integrated ecosystem (marketplace + logistics + Mercado Pago) and scale create higher switching costs and a durable moat if it defends logistics and fintech leadership.
- **Segment winners –** Temu/Shein dominate ultra-price-sensitive shoppers; Shopee competes on promotions and localized execution; MeLi retains strength with value-seeking customers and merchants that value payments and integrated services, with a recent focus on speed.

## Case study #2 - Ad monetization learnings from PDD

Pinduoduo (PDD – founded in 2015) is China's largest e-commerce platform by user count; we estimate it has over 900mn annual active buyers (last reported at 870mn in 2021). PDD caters to a segment which was overlooked by Alibaba and JD: price-sensitive consumers in Tier 3 and beyond cities. The model was built around group buying – users invite their connects (friends, family, etc.) to co-purchase, unlocking lower prices. This turned transaction into an organic referral and kept consumer acquisition costs near zero.

**Ad monetization is the downstream reward for building a closed-loop high-frequency consumer habit**

PDD charged near-zero take rates for four years – deliberately suppressing monetization to build consumer frequency and merchant density first. It accelerated its ad monetization in 2018 with its keyword auction product; by then, its demand-side infra was entirely built: with millions of high-intent daily users, which merchants competed for in a closed-loop search experience.

'Closed loop' means every step of the purchase journey – search, discovery, checkout, payment, and delivery tracking – happens within the PDD app, with no handoff to an external site or payment provider. This matters a lot for ad monetization because it gives merchants complete attribution: they can see exactly which keyword a buyer searched, which ad placement they clicked and whether that click converted into a purchase. On an open platform like Google, a merchant bids on a keyword but loses visibility the moment the user leaves for an external website – conversion tracking is partial and noisy.

Additionally, for unbranded items, the attribution becomes clearer on platforms like Meesho as these sellers are unlikely to spend on ATL or BTL outside Meesho (e.g. bidding on Google Ads, Meta, etc.). FMCG/D2C brands on q-com platforms like Blinkit tend to spend on multiple platforms for ATL/BTL which makes attribution difficult. In case of unbranded sellers, since most of their ad spends are likely channeled only on Meesho, the RoAS are clearer.

On closed apps like PDD, the signal is clean from end to end. A merchant can calculate precise ROAS per keyword, per placement, per time of day, etc. That measurability is what makes merchants willing to keep increasing ad spend – they can see exactly what they are getting for every ad dollar spent.

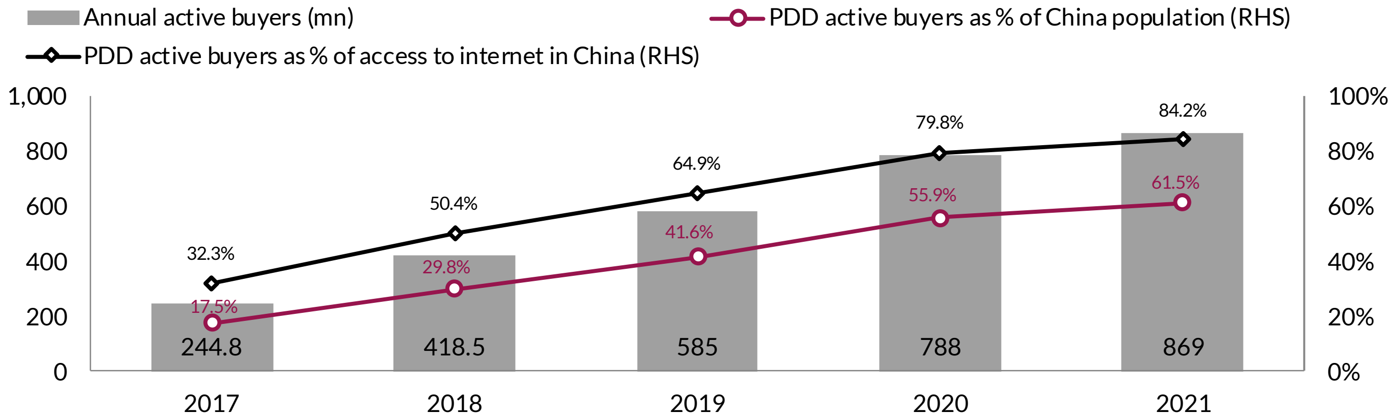
For PDD, ad revenues grew ~20x from ~RMB12bn in 2018 to RMB210bn+ in 2025. PDD's model established that low-price, high-frequency platforms are structurally accretive for ads.

**PDD put the consumer flywheel before ad monetization**

As per media reports, PDD's founding strategy was deliberately anti-monetization, setting the consumer flywheel in motion first. While Alibaba was extracting 4-5% of GMV as merchant fees and ad revenues, PDD offered merchants near-zero costs to list and sell. PDD's bet was more structural – aggregating price-sensitive, high-frequency demand so that merchants would eventually be compelled to pay for visibility.

The group-buying mechanism was consumer acquisition – it turned users into organic distribution agents. Each purchase was a potential referral. This drove user growth at a much lower customer acquisition cost (CAC) than traditional e-commerce. By the end of 2018, PDD already had ~418mn annual active buyers, which presented a massive impression pool.

### Exhibit 53: PDD is deeply penetrated into China's population




Note: PDD stopped reporting active buyers post 2021

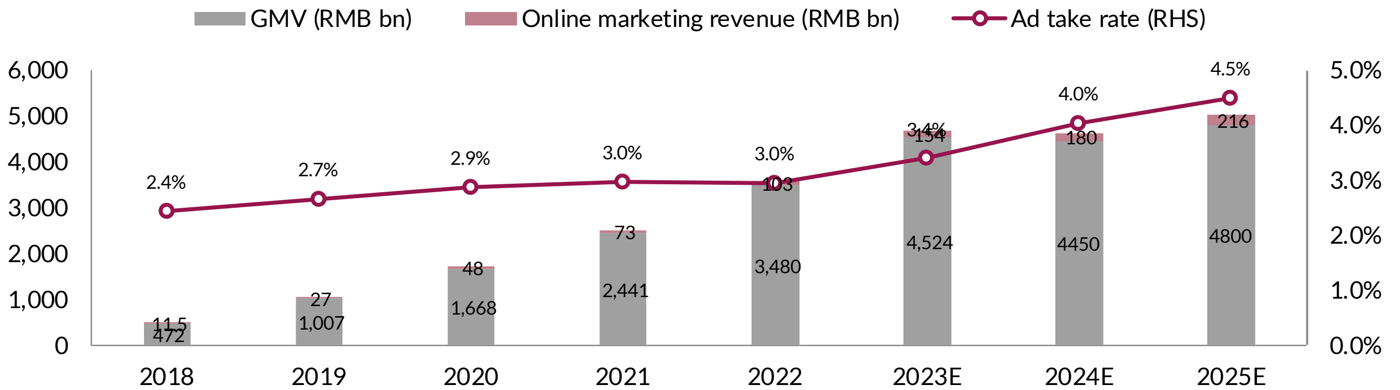
Source: World bank, Company, Axis Capital

**PDD's ad architecture: 'Tui Guang Tong'**

PDD's primary monetization mechanism is its CPC (cost per click) keyword auction embedded in the search experience. We believe the following three elements make PDD's search placements structurally strong:

- **Purchase intent is key**: users come to PDD with high intent and most search queries on PDD are buying queries. PDD is not used for informational browsing. This makes conversion rates structurally higher than display or social inventory, which justifies premium CPCs.
- **Attribution is clean and closed-loop**: The entire funnel – search, discovery, checkout, payment, fulfilment – is on-platform. Merchants can see exact RoAS per keyword. High measurability reduces friction and aids increasing ad budgets.
- **Auction density scales with GMV**: As more merchants compete for the same consumer attention, bidding prices rise without any product change. GMV growth is self-reinforcing to CPCs.

### Exhibit 54: Ad revenues as % of GMV rose in 2018 with keyword bidding; media suggests take rate is now ~4-5%




Source: Company, Axis Capital
Note: PDD stopped reporting GMV post 2021

**Low ASP drives higher frequency, which drives higher ad monetization**

Counterintuitively, lower ASP drives higher purchase frequency, which drives higher DAU (daily active users), creating more search impressions per month.

**More impressions -> more auction/bidding volume -> more ad revenue, even at lower CPC levels.**

Meesho also focuses on quick checkout instead of cart building. This has led to a high order frequency. Thus platforms like PDD & Meesho retain their edge in ad revenues.

We note that across successful ad monetization cases, it has scaled when three conditions were met simultaneously:

- sustainable, high-frequency consumer habit,
- high merchant competition density per category, and
- a search product with measurable conversion attribution (closed loop).

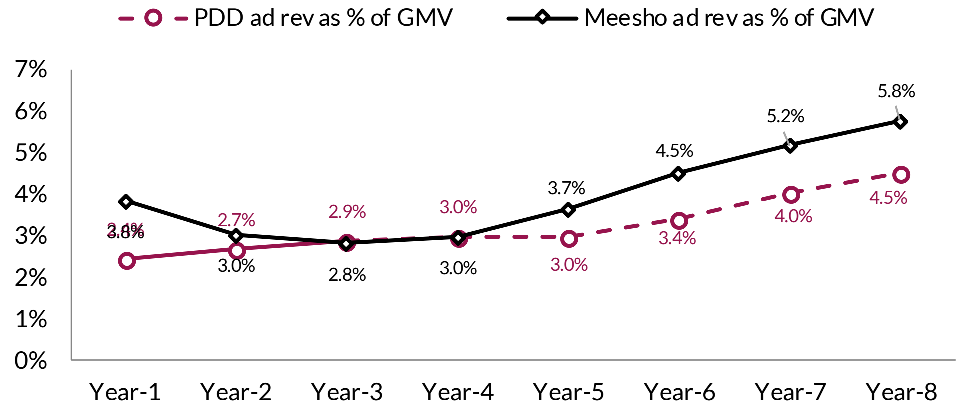
**Meesho appears to be approaching all three**

Meesho is India's largest value e-commerce platform by order volume, with ~265mn annual transacting users (predominantly Tier 2+) and NMV at ~USD4.5bn annualized. Its monetization model has historically been near-zero for sellers (with its no-commission model). While it charges sellers for logistics and make a logistics spread, its other channels of monetization – like ads – remain nascent. This is structurally similar to PDD in 2018-19.

Meesho has: an established consumer habit (witnessed is high frequency ~9x a year); massive merchant density (~900k active sellers competing in overlapping categories); and a mobile-first, search-driven discovery experience. This should be conducive for its ad revenues.

Its ad revenues are at ~1.8/2.9% of GMV/NMV (Q3FY26); given the trends with PDD and the structural tailwinds, we believe it is likely to reach ~5.5-6% of NMV or 3.5-4% of GMV by FY30E.

### Exhibit 55: Meesho tracking PDD's ad revenue ramp up trajectory




Note: The years indicate year of full-fledged ad monetization ramp up. Year-1 for PDD is 2018; for Meesho it is FY23

Source: Company, Axis Capital

# Amazon Bazaar & Flipkart's Shopsy: a risk to Meesho's free run? We think not

## Why were Amazon Bazaar & Flipkart's Shopsy launched?

Amazon Bazaar was launched (Apr'24) for India's highly price-sensitive, value-seeking shoppers, offering a platform for ultra-low-priced, mostly unbranded items. It lowered its seller costs (zero referral fees) so that more low-price inventory flows into Amazon Bazaar. On Bazaar, sellers can sell selections priced at or below Rs699, across all categories with the exclusion of Grocery, Luxury Beauty, and Pharmacy. The sellers can choose 'Easy Ship' (where Amazon manages the pick-up, delivery, provide customer support, cater to returns, etc.) or 'Self Ship' (where seller manages the process of shipping & delivery). Interestingly, Amazon allows for cross-listing – as the inventory for sales on Amazon.in & Amazon Bazaar is the same product can be priced differently on both as per the sellers' choice. The benefits given to sellers are:

- Zero referral fees (no commissions) charged to sellers
- Closing fee (flat fee) with Easy Ship remains 'zero' and for Self Ship is Rs45/35/50 for items under 250/251-500/501-600.
- Delivery fee (for Easy Ship) will be charged as per weight of the item, in the range of Rs55-185 for weights of 0-3kg+.
- If a product is returned, the seller is charged a Refund fee basis the item price. Sellers are not charged anything in case the shipment was not delivered to the customer.

Similarly, Flipkart – through Shopsy – targets small businesses, individual resellers, and sellers in smaller towns by removing onboarding friction (no paperwork, mobile photo uploads), cutting down commissions on many categories and leveraging Flipkart's logistics to reach deep into Tier-2/3 India. The goal here also is rapid seller acquisition, wider geographic penetration, and growth in low-ARPU customer segments. It was launched in Jul'21. Like Amazon Bazaar, Shopsy has also reduced commissions to 0% (effective Nov'25) and has flat/low return charges.

**Both Bazaar and Shopsy aim to:**

- Capture the bottom of the pyramid: which is India's largest growth opportunity for price-sensitive shoppers outside of metros.
- Defend market share: Both firms want to defend share against rivals discount apps like Meesho, Purplle, Roazana etc. by offering cheaper listings and easier seller economics.
- Scale supply quickly: Lower fees and simpler onboarding attract many small sellers, increasing assortment and enabling aggressive pricing.

**Comparing prices and assortment across Meesho, Amazon Bazaar & Flipkart's Shopsy**

- Assortment

Meesho seems to have the deepest long-tail assortment of the three – its supplier base is heavily skewed toward small manufacturers in Tier 2/3 towns, which means categories like ethnic wear, unbranded home décor, and low-ticket fashion have breadth that is difficult for peers to match. Meesho's search-and-discovery model could make the shopping experience slightly slower (unlike a search-led platform like Blinkit) but this is immaterial for a price-sensitive buyer who doesn't have a strong brand preference and is optimizing for price. Amazon Bazaar and Flipkart Minutes are essentially an attempt to carve out a value-focused storefront within its existing catalogue rather than build a separate app/proposition. The assortments in Amazon Bazaar and Flipkart Shopsy skew towards unbranded or private-label goods in fashion and home, but are likely to remain constrained by the parent's seller-onboarding standards and fulfilment requirements – which means the truly unorganized sellers (e.g. sub-Rs200 SKU tail) that Meesho indexes on is still underrepresented.

- **Pricing**

For this primary check, we chose a pincode in the tier-2 city of Cuttack as it should have the accurate target group for Meesho, Amazon Bazaar & Flipkart's Shopsy.

We made a basket of ~20 items across categories like fashion accessories (watch, sunglasses, belt, handbag, etc.), kitchen utilities (pan, tiffin box, mug etc.), small electronics (earphones, charging cable etc.) and other miscellaneous items (like soft toy, air freshener, yoga mat etc.).

We then checked the prices of these items across Meesho, Amazon Bazaar and Flipkart Shopsy by sorting it for price i.e. cheapest to most expensive and have noted the cheapest available item in each category (Ex-55).

- We note that on the whole, Meesho seems to have the cheapest assortment – it is likely to be ~35-40% cheaper for a user vs Bazaar & Shopsy, on average.
    - To encourage pre-paid orders, Meesho gives additional discounts (in the range of Rs15-25) for payments via UPI, card, or wallet.
    - Additionally, to reduce returns, Meesho also offers incentives by giving an additional discount (Rs10-25) for choosing the option 'only defect/wrong returns allowed'.
    - Meesho charges delivery fees (not done by peers) of Rs60-70 for items listed below Rs60.
- Amazon Bazaar and Shopsy are broadly at similar levels of pricing.
    - Both don't charge a delivery fee, or give any additional discounts like Meesho.
    - Interestingly, Shopsy does not allow a user to order a single quantity/SKU; for most products, it allows a user to place an order only if a minimum quantity of an SKU is bought.
        - For example, in our basket for sunglasses (listed at Rs40 per SKU), it only allows a user to place a minimum of 4 units of these sunglasses (which will amount to Rs160). Similarly, for a lip balm listed at Rs16, the minimum quantity required to place an order is 10 thus the user will have to ultimately shell out Rs160 to buy this product.
        - This could be to encourage group buying as it also brings down logistics cost for the sellers/platform.

Thus, our primary checks suggests that in terms of assortment (width & depth) and pricing. Meesho comes out stronger vs peers.

## Exhibit 56: Comparing assortment for a basket of items across Meesho, Amazon Bazaar & Flipkart's Shopsy

| | Meesho | | | | | | Amazon Bazaar | | | | Flipkart's Shopsy | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Listed Price | Additional Discount (UPI/Card/ Wallets) | Only Defect/ Wrong Returns Allowed | Delivery Fees | Total (ex-Defect Returns) | Total (ex-Defect Returns) | Listed Price | Additional Discount | Delivery Fees | Total | Listed Price | Minimum Order Qty | Additional Discount | Delivery Fees | Total |
| **Watch** | 113 | 24 | - | - | 89 | 89 | 111 | - | - | 111 | 70 | 2 | - | - | 140 |
| **Sunglasses** | 95 | 22 | 12 | - | 73 | 61 | 109 | - | - | 109 | 40 | 3 | - | - | 120 |
| **Slippers** | 94 | 14 | - | - | 80 | 80 | 149 | - | - | 149 | 68 | 1 | - | - | 68 |
| **Women's Belt** | 86 | 19 | 1 | - | 67 | 66 | 116 | - | - | 116 | 42 | 2 | - | - | 84 |
| **Men's Wallet** | 84 | 21 | 1 | - | 63 | 62 | 119 | - | - | 119 | 58 | 2 | - | - | 116 |
| **Handbag** | 110 | 19 | 1 | - | 91 | 90 | 120 | - | - | 120 | 166 | 1 | - | - | 166 |
| **Bangles** | 107 | 21 | 23 | - | 86 | 63 | 102 | - | - | 102 | 60 | 2 | - | - | 120 |
| **Tadka Pan** | 131 | 17 | 1 | - | 114 | 113 | 130 | - | - | 130 | 100 | 2 | - | - | 200 |
| **Lip Balm** | 19 | - | - | 72 | 91 | 91 | 59 | - | - | 59 | 16 | 10 | - | - | 160 |
| **Hair clips** | 85 | 19 | 1 | - | 66 | 65 | 169 | - | - | 169 | 90 | 1 | - | - | 90 |
| **Earphones** | 99 | 26 | 15 | - | 73 | 58 | 99 | - | - | 99 | 42 | 3 | - | - | 126 |
| **Coffee mug** | 119 | 22 | 1 | - | 97 | 96 | 110 | - | - | 110 | 60 | 6 | - | - | 360 |
| **Mobile phone holder** | 58 | 30 | 2 | 69 | 97 | 95 | 99 | - | - | 99 | 46 | 1 | - | - | 46 |
| **Charging cable** | 90 | 26 | 1 | - | 64 | 63 | 107 | - | - | 107 | 79 | 1 | - | - | 79 |
| **LED lamp** | 101 | 22 | 15 | - | 79 | 64 | 136 | - | - | 136 | 100 | 2 | - | - | 200 |
| **Air freshener** | 44 | 23 | 1 | 59 | 80 | 79 | 60 | - | - | 60 | 36 | 3 | - | - | 108 |
| **Tiffin box** | 104 | 23 | 1 | - | 81 | 80 | 203 | - | - | 203 | 88 | 2 | - | - | 176 |
| **Soft toy** | 97 | 20 | 1 | - | 77 | 76 | 133 | - | - | 133 | 54 | 1 | - | - | 54 |
| **Yoga Mat** | 158 | - | - | - | 158 | 158 | 224 | - | - | 224 | 176 | 1 | - | - | 176 |
| **Total** | **1,794** | **368** | **77** | **200** | **1,626** | **1,549** | **2,355** | **-** | **-** | **2,355** | **1,391** | **46** | **-** | **-** | **2,589** |

Source: Axis Capital

## Exhibit 57: Comparing Meesho's pricing and assortment to Bazaar and Flipkart's Shopsy

| Parameter | Meesho | Amazon Bazaar | Flipkart Shopsy |
|---|---|---|---|
| **Assortment depth** | Deepest long-tail; supplier base skewed to Tier 2/3 small manufacturers | Unbranded/private-label in fashion & home; constrained by Amazon's seller onboarding & fulfilment standards | Value-focused storefront carved within Flipkart's existing catalogue |
| **Category strengths** | Ethnic wear, unbranded home decor, low-ticket fashion | Fashion & home (unbranded/private label) | Broadly similar to Bazaar |
| **Truly unorganized sellers (sub-Rs200 SKU tail)** | Present but still underrepresented; expanding through non-GST seller onboarding | Limited | Limited |
| **Relative pricing** | ~35-40% cheaper than peers on average | Broadly at par with Shopsy | Broadly at par with Bazaar |
| **Prepaid discount** | Rs15-25 additional for UPI/card/wallet | None | None |
| **Returns-linked discount** | Rs10-25 for opting "only defect/wrong returns allowed" | None | None |
| **Delivery fee** | Rs60-70 for items priced below Rs60 | None | None |
| **Minimum order quantity** | Single unit | Single unit | Min quantity required for most SKUs (e.g. 4 units of a Rs40 item = Rs160 minimum outgo) |
| **Discovery model** | Search-and-discovery; some friction but immaterial for price-optimizing, brand-agnostic buyer | Within existing Amazon app/catalogue | Within existing Flipkart app/catalogue |
| **Overall** | Stronger on assortment width/depth and pricing | Mid | Mid |

Source: Company, Axis Capital

## Exhibit 58: Meesho's earlier avataar vs now; the discontinued 'reseller model' seems to have given it a headstart

| | Earlier avatar (reseller model) | Now |
|---|---|---|
| Distribution | Resellers selling via WhatsApp, Facebook; viral, low CAC | More direct commerce, app/marketplace discovery; ad and marketing driven |
| Monetization | Commission on orders; reseller incentives | Advertising, logistics and value-added services |
| Seller mix | Mostly third-party suppliers curated for resellers | Broader mix including direct sellers, brands, private label |
| Unit economics | Low CAC via resellers but thin margins per order | Focus on improving margins via ads and VAS |
| Control over assortment | Less control and many third-party suppliers for resellers | Tighter control with more direct seller relationships |
| Operational complexity | High returns and quality variability | Greater emphasis on quality control and profitability |

Source: Company, Axis Capital

**What helped:**

- Meesho has shed its reseller identity, and its core proposition is a zero-commission model for sellers – it monetizes through logistics spread and advertising. The catalogue skews heavily towards unbranded goods in fashion, home, and general merchandise, with a user base concentrated in Tier 2+ cities in India.
- Amazon Bazaar and Flipkart Shopsy occupy a similar positioning – with both targeting the value-seeking, non-metro buyer with low-ASP inventory – but neither was built from the ground up for this cohort the way Meesho was, and that structural difference is witnessed in a few ways.
  - On the supply side, Meesho spent several years cultivating a seller base drawn from small manufacturers/traders in textile and manufacturing hubs – Surat, Jaipur, Bhiwandi etc. who produce unbranded goods at very low cost. These sellers came to Meesho because the zero-commission structure made economics attractive for low ASPs.
  - Amazon Bazaar draws from Amazon's existing seller base, which is structurally oriented towards semi-branded and branded goods and built for a buyer with higher willingness to pay. The catalogue that Bazaar can offer at the price points of Rs200-400 is therefore shallower and less organically competitive.
  - Shopsy inherited Flipkart's seller base with similar limitations and while Flipkart has tried to open Shopsy to the long tail, it hasn't replicated Meesho's depth in unbranded categories.
- On the demand side, Meesho's app and UX were designed entirely around the price-sensitive user. Discovery, navigation and trust signals are calibrated for a buyer who is a first-time e-commerce user and for whom the primary consideration is price, not brand or delivery speed.
  - Amazon carries an aspirational premium perception, and the app sits within the main Amazon app and inherits that branding. Shopsy is a standalone app but lacks brand recall.
- Meesho's ad monetization flywheel is also a structural advantage. As its user base and order volumes scale, sellers have increasing incentive to bid for visibility within the platform, aiding Meesho's ad revenue per order.
  - Platforms with lower scale are unlikely to generate the same seller advertising demand in the value segment because the seller base is comparatively lower and thus sees lower competitive intensity within those specific categories.

The value segment for Amazon and Flipkart seems more of a hedge bet than a strategic priority. Thus, Meesho's supply-side depth, user trust in its target cohort, and the emerging ad-monetization engine give it an advantage that is hard for peers to replicate.

## Global comparisons: Mercado Libre (LatAm) vs Amazon (LatAm), Flipkart Shopsy (India value-tier), and PDD (China)

**Business model & scope**

- **Mercado Libre**: Integrated **commerce + fintech + logistics + credit + ads** at continental scale across 18 LatAm markets; super-app flywheel where payments (Mercado Pago), logistics (Mercado Envíos), and credit (Mercado Crédito) reinforce marketplace liquidity. It is built for LatAm's underbanked, logistics-constrained landscape.
- **Amazon (LatAm)**: **Strong brand and Prime benefits** but not as deeply localized; relies more on third-party carriers and banked consumers, with **less integrated fintech** at the point-of-sale vs Meli's Pago/Credito penetration. Mercado Libre's owned logistics and payments stack are key differentiators in Brazil/Mexico.
- **Flipkart Shopsy (India): Ultra-low cost, value-tier discovery app** to expand Flipkart's reach to price-sensitive buyers and long-tail sellers; leverages Flipkart's **logistics/payments rails but is not a full fintech bank or independent logistics** network like Meli. Scope is India-only.
- **PDD (Pinduoduo/Temu): Value-focused, content + social discovery model** at massive scale; **monetization skewed to advertising and merchant services**, asset-light with deep supplier aggregation. Less financial intermediation than Mercado Libre; cross-border (Temu) expands scope but logistics is partner-heavy. PDD's logistics are more like Meesho's Valmo.

**Moats & infrastructure**

- **Mercado Libre:** Heavy investment in owned fulfilment, last-mile, EV fleets, Meli Air, and physical pickup points ("Meli Places") – same-day/next-day in urban cores; hard-to-replicate capex and operating know-how.
- **Amazon (LatAm):** Strong global logistics know-how, but regionally less vertically integrated than Mercado Libre; higher dependence on partners in some markets.
- **Shopsy:** Distribution-led (Flipkart's network) and growth funnel for value users; moat is India ecosystem scale, but less proprietary physical logistics than Meli's end-to-end build.
- **PDD:** Moat is data-driven merchandising, virality, and ads yield – not logistics ownership.

**Fintech depth & monetization**

- **Mercado Libre**: Mercado Pago is a full-stack digital bank (wallets, acquiring, credit, deposits) operating on- and off-platform; fintech is 40%+ of 2024 revenue and is proving to be a second growth engine that derisks commerce cyclicality.
- **Amazon**: Payments embedded (cards/EMI/BNPL via partners) but no independent bank-like fintech in LatAm comparable to Mercado's Pago.
- **Shopsy**: Payments via UPI/wallets in India; no standalone bank-scale fintech P&L.
- **PDD**: Monetization led by ads/merchant services; fintech ancillary vs core. Economics & scale signals.

### Learnings from global case studies

**The power of an integrated stack – what to learn, what to localize**

MeLi's moat comes from owning critical rails (payments, credit, logistics) around a marketplace – this deepens monetization (ads + take-rate + financial margin) and improves buyer/seller experience in low-trust, low-ticket markets. India has UPI and dense 3PLs already; therefore, the replication playbook should be "orchestrate + selectively integrate": keep the asset-light platform for assortment/affordability but integrate where it moves the P&L needle (e.g. embedded working capital for sellers and risk-scored BNPL for buyers, selective owned logistics in lanes with poor service levels).

**Ads as the second profit engine in value commerce**

Both Meli and PDD show that ads become the high-margin layer once user time and SKU long-tail reach scale. For a value platform like Meesho, in-house performance (RoAS) focused self-serve ads can aid contribution expansion – critical to preserve low ASPs. Meli Ads' growth alongside payments validates the multi-pronged monetization beyond commissions.

**Fintech depth = flywheel acceleration**

Meli's Pago + Crédito reduces friction (acceptance, conversion), boosts frequency, and anchors seller dependency via payouts/loans. In India, UPI ubiquity reduces the need to "own" payments, but credit remains underpenetrated for long-tail sellers and new-to-credit buyers. A risk-managed, data-driven credit layer (invoice financing, embedded BNPL with instant settlement to sellers) can improve conversion and lock-in – mirroring Pago/Credito's role without recreating a full bank.

**Logistics: own where it hurts most**

Meli built Envíos because LatAm logistics were structurally weak. India's logistic rails are more mature and competitive; hence owning 100% of logistics isn't required. But selective control over critical legs (e.g. returns consolidation, low-weight zone-skipping, dense micro-sorts) can step-change unit economics and in low-AOV categories – without heavy capex. This could either be completely owned, like Meli's Envíos, or it could be aggregated, like Valmo. However, we believe owning any nodes to improve CX would increase costs, especially since distribution is diversified, and owning might not solve for price. Thus, Meesho's Valmo seems to be the most optimal solution, where Meesho can assert a certain level of control (vs what it would have with a 3PL) while also optimizing for costs.

## Exhibit 59: Summarizing global takeaways

| Dimension | Mercado Libre | Pinduoduo (PDD) | Flipkart Shopsy | Amazon (LatAm) |
|---|---|---|---|---|
| Business Model | Integrated commerce + fintech + logistics + credit + ads at continental scale (18 markets). Super-app flywheel: Pago (payments), Envíos (logistics), Crédito (credit) reinforce marketplace liquidity. | Value-focused, content + social discovery model at massive scale. Asset-light with deep supplier aggregation. Cross-border via Temu. Logistics is partner-heavy (like Valmo). | Ultra-low cost, value-tier discovery app; leverages Flipkart's logistics/payments rails. Not a full fintech bank or independent logistics network. India-only scope. | Strong brand and Prime benefits; relies on third-party carriers and banked consumers. Less fintech depth at point-of-sale vs MeLi. |
| Moats & Infrastructure | Owned fulfilment, last-mile, EV fleets, Meli Air, physical pickup points (Meli Places). Same-day/next-day in urban cores. Hard-to-replicate capex and operating know-how. | Moat is data-driven merchandising, virality, and ads yield and not logistics ownership. | Distribution-led (Flipkart's network); moat is India ecosystem scale. Less proprietary physical logistics than Meli's end-to-end build. | Strong global logistics know-how but regionally less vertically integrated than local players (like MeLi); higher dependence on partners in some markets. |
| Fintech Depth | Mercado Pago: full-stack digital bank (wallets, acquiring, credit, deposits) operating on- and off-platform. Fintech (non-marketplace) is 40%+ of 2024 revenue; second growth engine that derisks commerce cyclicality. | Monetization led by ads and merchant services; fintech is ancillary rather than core. It offers payments, merchant financing & consumer credit. | Payments via UPI/wallets in India; its fintech arm Super.money which facilitates UPI payments, etc. No standalone bank-scale fintech P&L. | Payments via cards/EMI/BNPL through partners. No independent bank-like fintech in LatAm comparable to Pago. |
| Monetization Model | Multi-pronged: take-rate + ads + financial margin (credit spread, interchange). Ads growth alongside Pago validates beyond-commission monetization. | Heavily skewed to advertising + merchant services. Asset-light; high-margin ads layer as users mature and SKU long-tail scale. | Primarily take-rate/commission; ads layer nascent. No independent financial margin P&L. | Take-rate + Prime subscription + third-party ads. Financial services embedded but margin contribution lower vs some integrated players. |
| Meesho Read-Across | Replication playbook: orchestrate + selectively integrate and keep asset-light assortment but embed working-capital for sellers and risk-scored BNPL for buyers where it moves the P&L needle. | Most relevant monetization analog: ads become the high-margin layer once scale arrives. Self-serve performance ads (RoAS) can expand contribution without raising seller take-rate and critical to preserve low ASPs. | Closest structural analog to Meesho today: value-tier, India-only, leverages parent infrastructure. Ceiling may be lower since brand association still based with the larger Flipkart app. Its lack of a strong independent fintech build could also limit scale in user & seller onboarding. | Strong brand + distribution Could gain from more fintech/logistics depth in underserved markets. While it does have ATS (Amazon's Transportation Services) in Brazil & Mexico, lacks reach vs MeLi. |

Source: Company, Axis Capital

## Meesho P&L build-up

Meesho's NMV growth is driven by deeper penetration into the target (Tier-2+ markets) driving its ATUs expansion as it adds value-seeking users that continue to be underserved by incumbents. This is followed by rising order frequency as existing users on the platform mature, increasingly transacting for repeat, low-ticket categories supported by improving logistics economics.

While AOV remains structurally lower due to Meesho's focus on affordability and unbranded categories, it is more than offset with scale as it penetrates deeper, aiding ATUs and sees higher repeat usage (frequency increase).

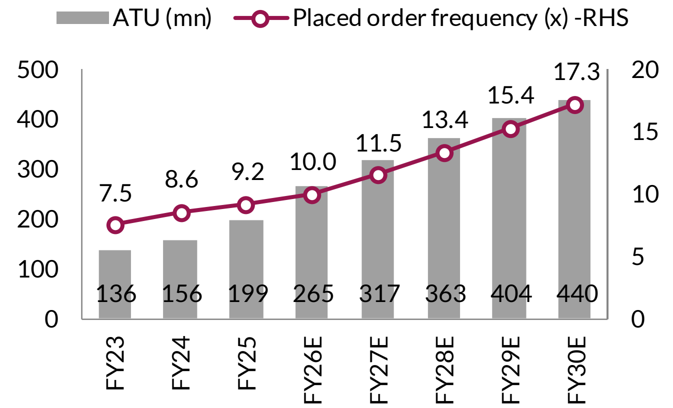
The improvement in the NMV to GMV ratio reflects lower cancellations, RTOs, and returns driven by better logistics execution, higher prepaid penetration and improved seller quality – resulting in a higher share of GMV converting into NMV.

Logistics cost per order is expected to decline driven by scale benefits (higher utilization of logistics infra), higher prepaid penetration (lower cash-handling costs), improving delivery success rates, and operational efficiencies across first-mile, middle-mile, and last-mile with Valmo and 3PLs. Logistics revenue trends down as a % of NMV as Meesho passes on logistics cost savings to sellers, prioritizing ecosystem scale and seller affordability over maximizing logistics monetization. Logistics spread (logistics revenue from sellers minus logistics costs incurred) is expected to improve to its pre-Valmo expansion levels of ~2-2.5% and is expected to stay rangebound.

Apart from logistics, its ad revenues move up as a larger seller base adopts performance ads to drive discovery and sales, supported by improving targeting, higher ROAS and deeper catalogue competition.

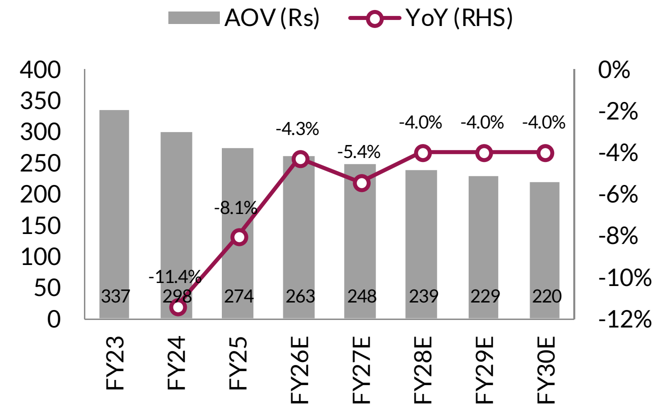
Once logistics spreads stabilize at ~2.5% of NMV, they are expected to largely cover fixed operating costs – most notably A&P, which forms the bulk of fixed opex and is primarily customer acquisition cost (CAC) required to scale ATUs. Beyond this threshold, incremental growth in ad revenues should see high flow-through to adj. EBITDA, driving operating leverage as the platform scales. We expect adj. EBITDA margin for Meesho marketplace to reach ~3% of NMV by FY28E.

### Exhibit 60: ATUs and order frequency trends



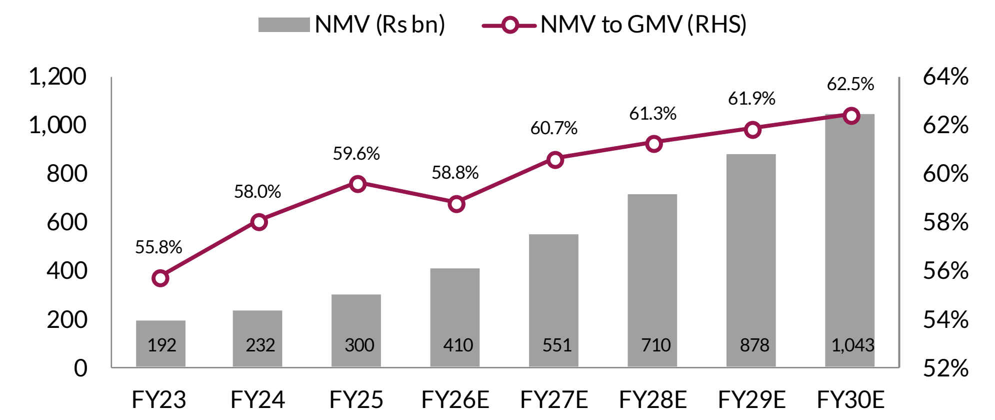

Source: Company, Axis Capital

### Exhibit 61: AOV to decline as ATUs increase



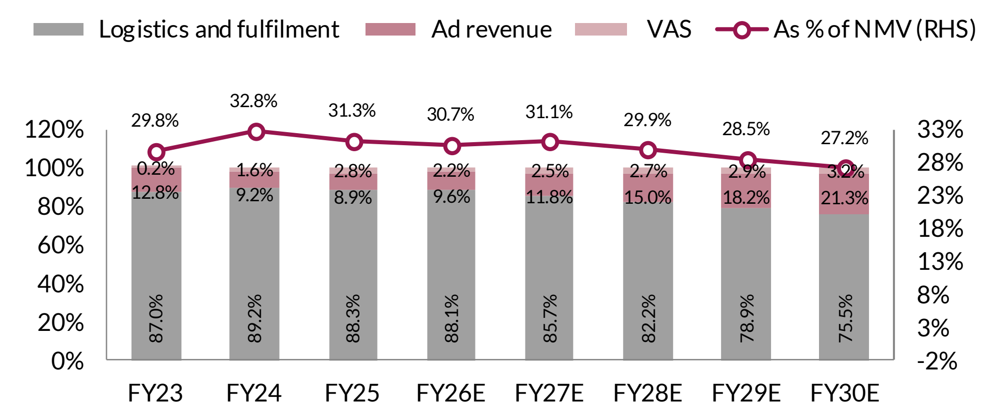

Source: Company, Axis Capital

### Exhibit 62: 30% NMV CAGR (FY26-30E); NMV:GMV to improve gradually



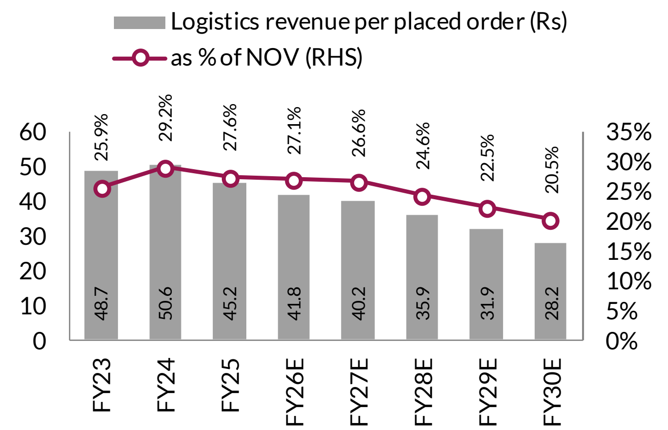

Source: Company, Axis Capital

### Exhibit 63: 25% Revenue CAGR (FY26-30E)



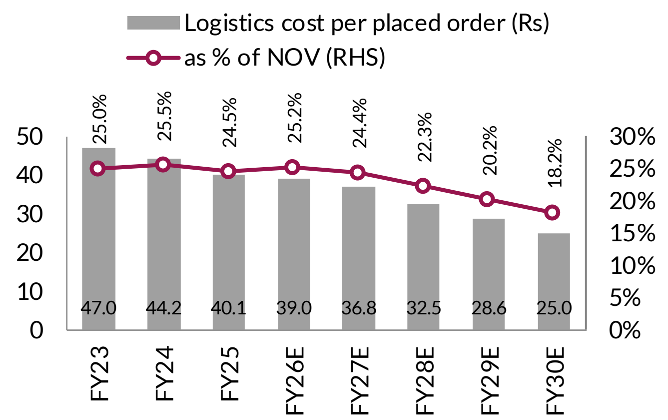

Source: Company, Axis Capital

### Exhibit 64: Logistics cost per order to come off as...



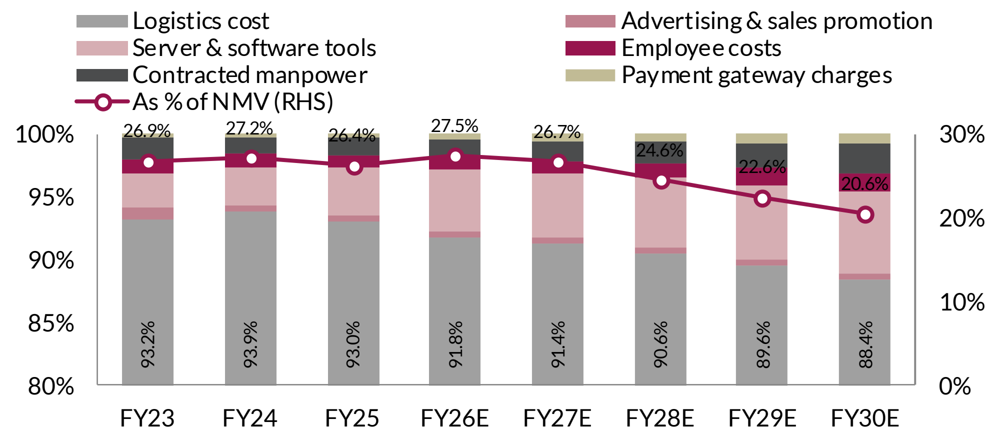

Source: Company, Axis Capital

### Exhibit 65: ... as benefits from logistics costs are passed



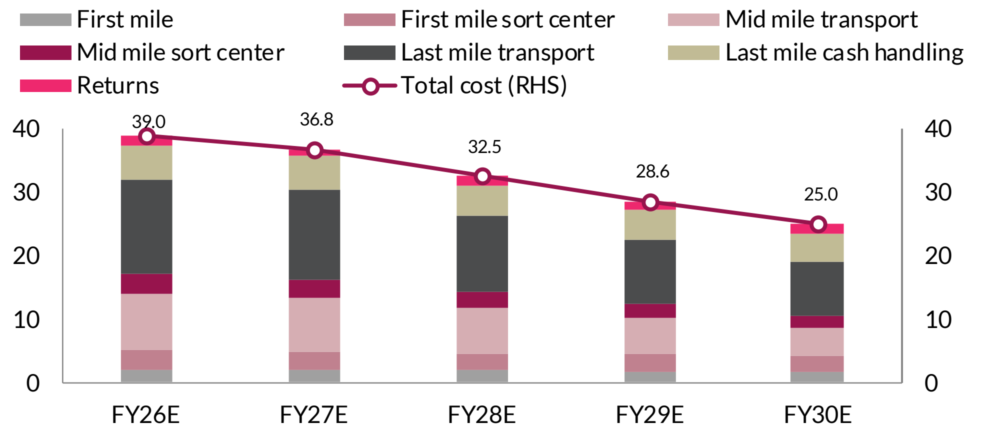

Source: Company, Axis Capital

### Exhibit 66: Logistics costs should form 90-93% of total variable costs



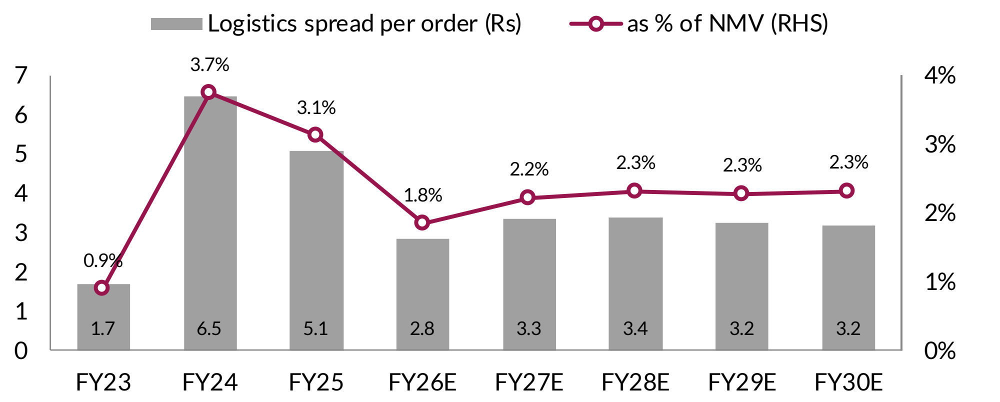

Source: Company, Axis Capital

### Exhibit 67: Mid-mile & last-mile transport costs are over 60% of logistics costs



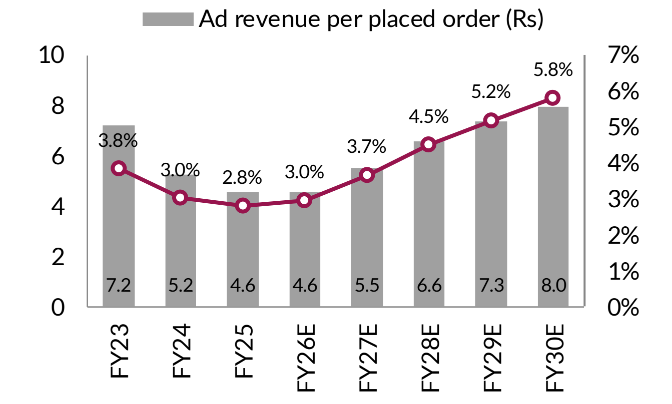

Source: Company, Axis Capital

### Exhibit 68: Logistics spread to reach 2.3% by FY28E



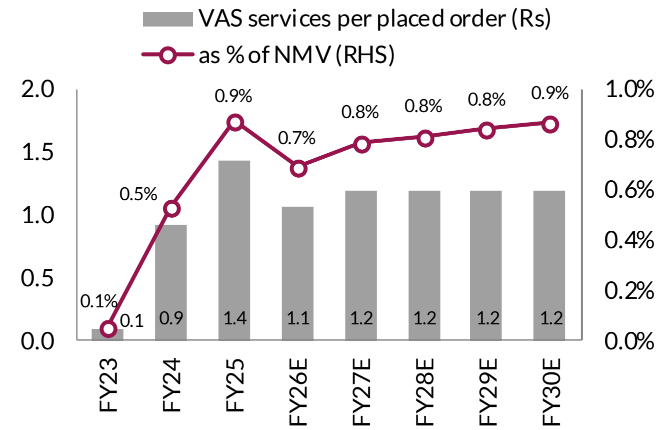

Source: Company, Axis Capital

### Exhibit 69: Ad revenue expected to rise, driving margins



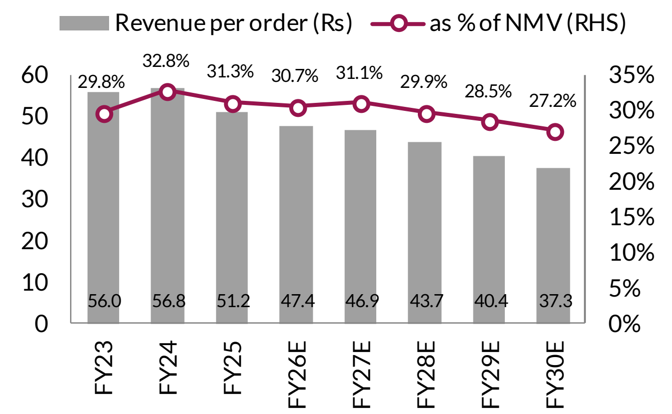

Source: Company, Axis Capital

### Exhibit 70: VAS to pick-up slowly



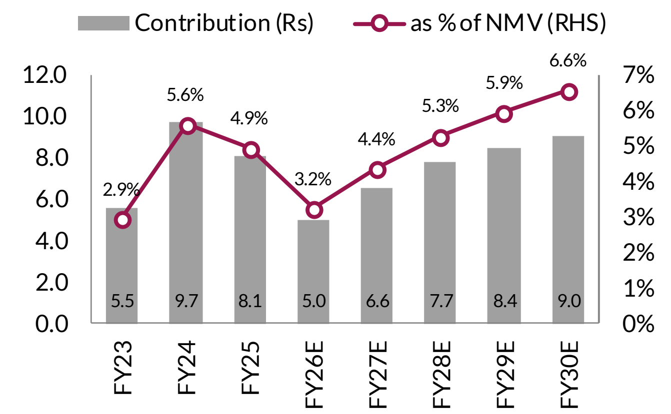

Source: Company, Axis Capital

### Exhibit 71: Revenue per order (logistics + ad + VAS)



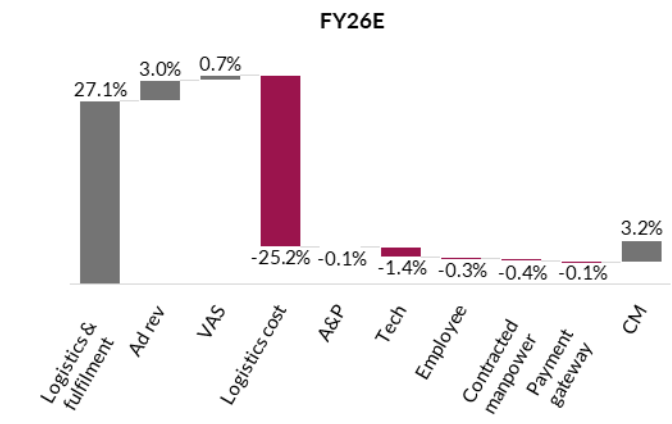

Source: Company, Axis Capital

### Exhibit 72: Contribution margin trends



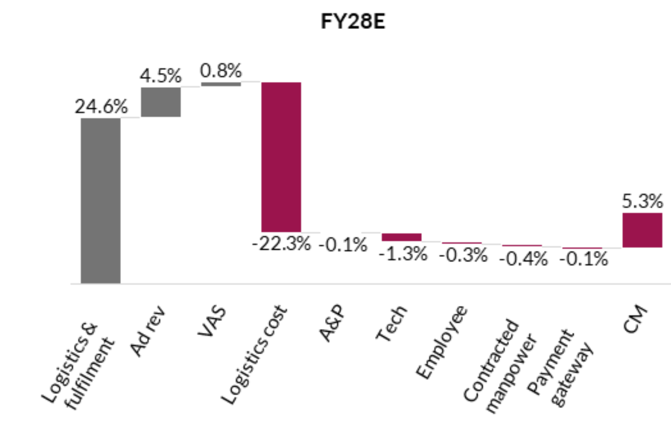

Source: Company, Axis Capital

### Exhibit 73: Unit economics (FY26E) as % of NMV



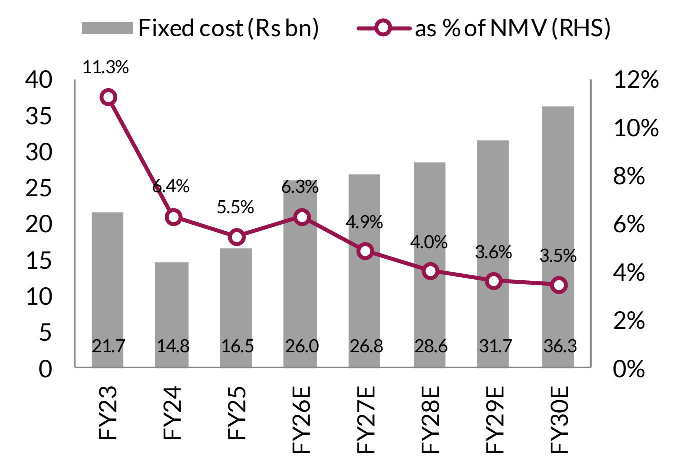

Source: Company, Axis Capital

### Exhibit 74: Unit economics (FY28E) as % of NMV



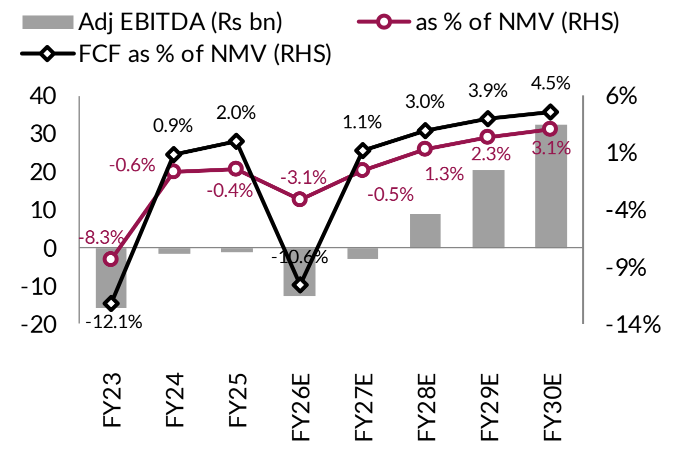

Source: Company, Axis Capital

### Exhibit 75: Fixed cost trends




Source: Company, Axis Capital

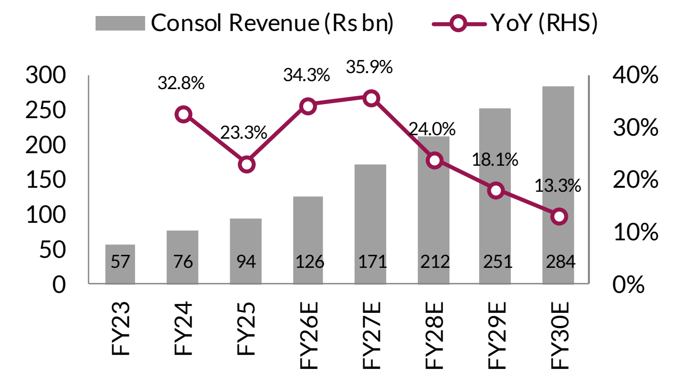
### Exhibit 76: Adj EBITDA and FCF trends




Source: Company, Axis Capital

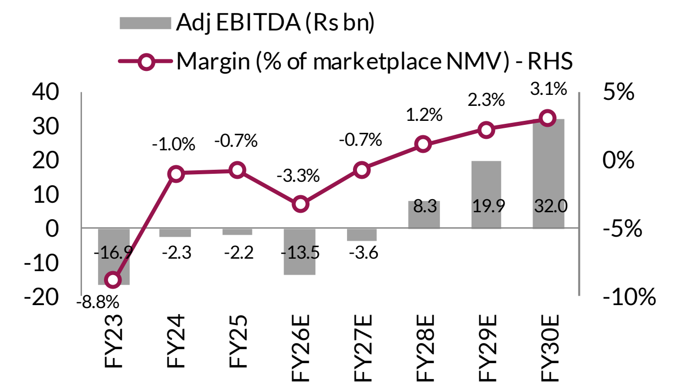
## Consolidated financials

### Exhibit 77: Revenue to grow at 25% CAGR (FY26-30E)



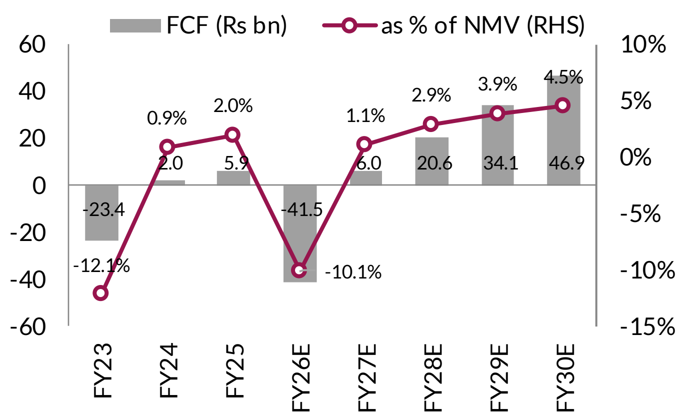

Source: Company, Axis Capital

### Exhibit 78: Adj EBITDA (consol) to break-even in FY28E



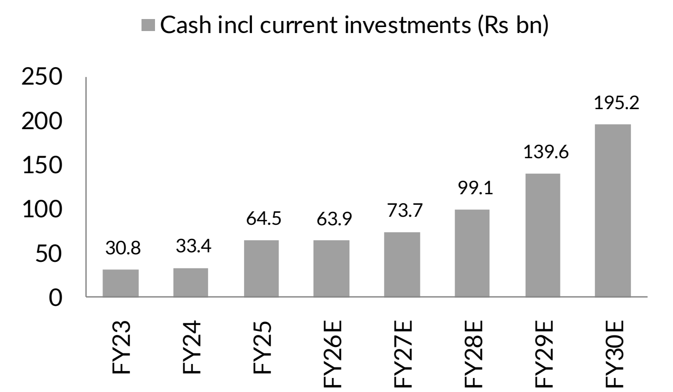

Source: Company, Axis Capital

### Exhibit 79: FCF as % of NMV expected to be healthy




Source: Company, Axis Capital

### Exhibit 80: Cash balance at Rs64bn

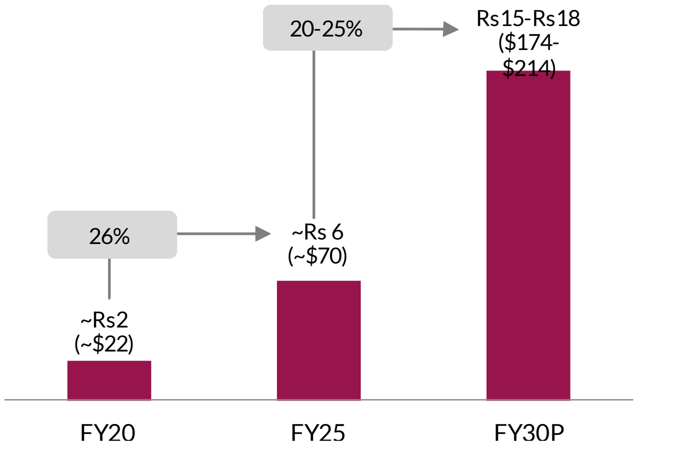



Source: Company, Axis Capital

# Appendix: Industry Overview

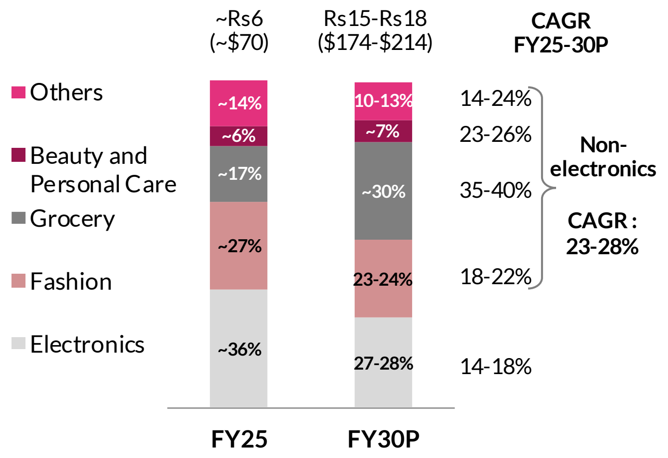
**As per the company's RHP, India's e-commerce market (including quick commerce) is projected to see 20–25% CAGR over the next 5 years**

### Exhibit 81: India e-commerce market – split by category




Source: Axis Capital, Company RHP

### Exhibit 82: India e-commerce market – split by category

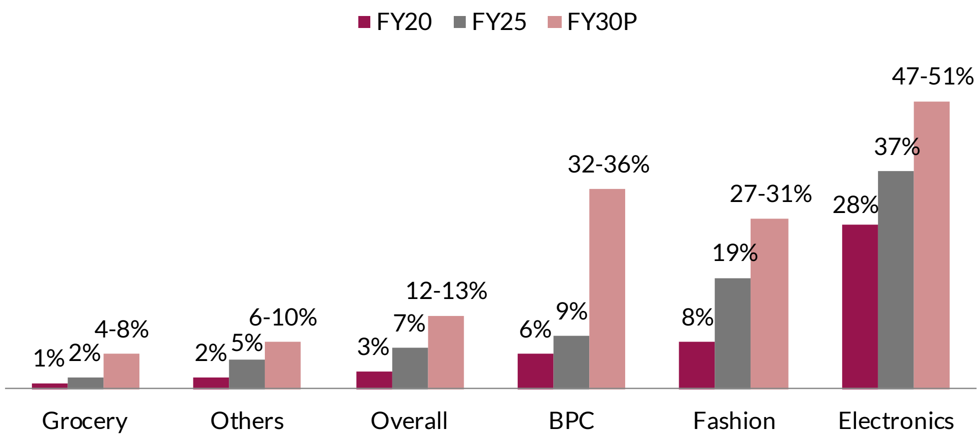



Source: Axis Capital, Company RHP

India e-commerce market size is currently ~Rs6tn (~USD70bn) in terms of GMV and is projected to reach Rs15–18tn (USD174–214bn), penetrating 12–13% of the India retail market by FY30E.

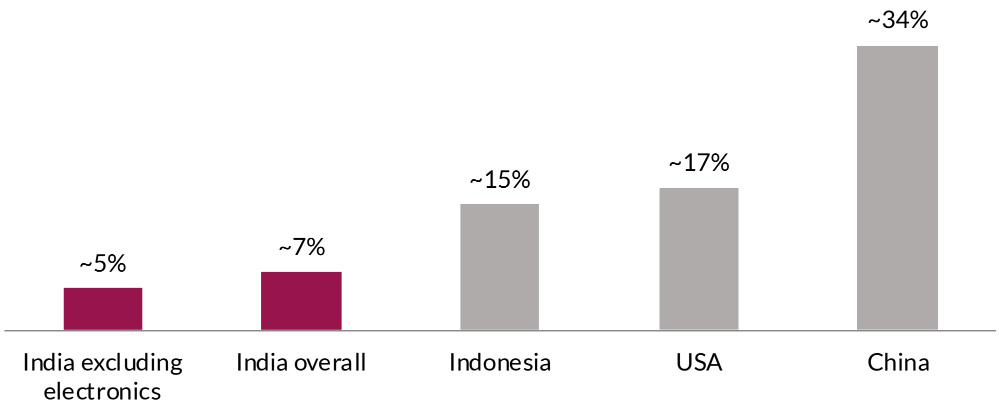
As of FY25, e-commerce penetration in non-electronics categories was significantly below that of electronics (~37%). Penetration levels in non-electronics categories are ~2% in grocery, ~19% in fashion, ~19% in beauty and personal care, and ~5% in others (pharma, home and furniture, general merchandise and jewelry). The non-electronics categories are projected to contribute to 72–73% of India e-commerce market in FY30E as compared to ~64% in FY25.

### Exhibit 83: E-com penetration evolution by category (as a % of retail market)




Source: Axis Capital, Company RHP

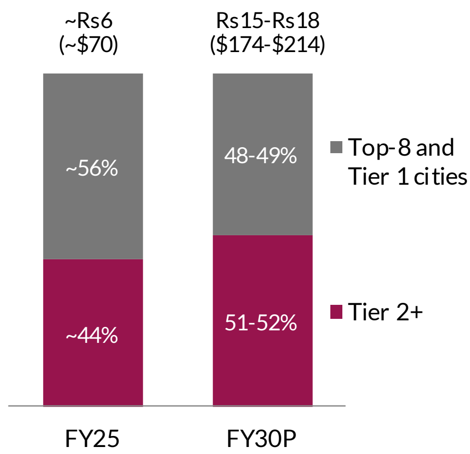
### Exhibit 84: E-commerce penetration – India and global benchmarks – in %, CY24




Source: Axis Capital, Company RHP

E- commerce penetration in Tier 2+ cities remains low, at ~4% in FY25, compared to ~14% in the top-8 and tier-1 cities. With most incremental online shoppers likely to come from tier 2+ cities, they are projected to account for ~51% of India's e-com market by FY30E (~44% in FY25).

### Exhibit 85: India e-commerce market – split by city tier in Rs tn (USD bn)



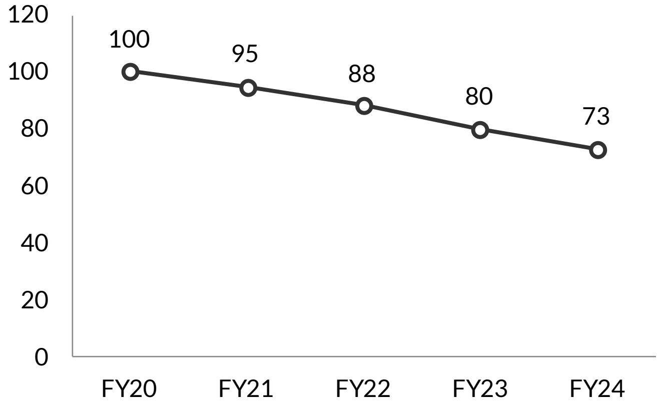

| | CAGR FY25-30P | E-commerce penetration (%) FY25 | E-commerce penetration (%) FY30P |
|---|---|---|---|
| Top-8 and Tier 1 cities | 17-21% | ~14% | 20-24% |
| Tier 2+ | 24-29% | ~4% | 9-10% |

Source: Company, Axis Capital

**Declining logistics costs are enabling e-commerce to provide low-ticket servicing**
India's e-com shipments grew at 34–36% CAGR from FY20 to FY25, reaching 6.8–7.4bn shipments in FY25. As per the company's RHP, this number is estimated to reach 22-25bn by FY30E, at 26–28% CAGR.

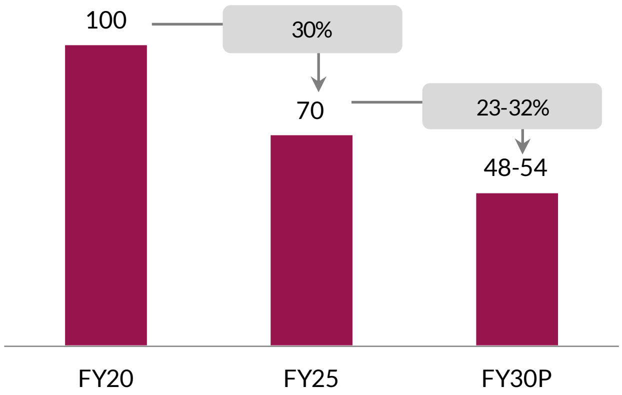
E-com logistics providers in India are reducing yield per shipment as fulfilment costs decline. This helps e-com players to serve low-ticket-size transactions and expand shipment volumes, as demonstrated by the corresponding decline of ~30% in the average order value in India e-commerce from FY20 to FY25.

**Exhibit 86: Average shipment yield**




Source: Company, Axis Capital; Note: India e-commerce (excluding quick commerce), indexed at 100 units

**Exhibit 87: Average order value**




Source: Company, Axis Capital; Note: India e-com, Base year 2020 indexed at 100 units

**Two prominent e-com business models have evolved to target the value-focused and convenience-focused consumer purchase behavior.**

Consumer purchase behavior in India is broadly segmented into two archetypes: value focused, and convenience focused.

- **Value focused purchase** behavior is driven by price sensitivity, low-ticket purchases, and a preference for unbranded products or regional brands. Consumers in this segment prioritize affordability and assortment spread over speed of delivery or brand. They typically engage in exploratory shopping that is impulse-driven, and their decision-making requires greater product education through product reviews, detailed descriptions, and social validation. Meesho, Shopsy, and Amazon Bazaar would come under this umbrella in the Indian context.
- **Convenience purchase** behavior is driven by brand preference and time constraints. Their shopping behavior is more intent-driven, with relatively clear needs or brand preferences. These consumers prioritize reliability, speed, and service experience. This segment is more brand-aware and willing to pay a premium for faster delivery or curated product access. Horizontal e-commerce players such as Flipkart and Amazon, vertical players like Myntra and Nykaa, and quick commerce players like Blinkit and Instamart are under this umbrella.

E-com business models in India are evolving fast to address divergent consumer needs. While the value-focused e-commerce model is solving for affordability and assortment spread, the convenience-focused model is addressing consumer demand for pan-India and D2C brands, faster delivery, assortment curation, and product availability.

## Exhibit 88: India – prominent business models in e-com

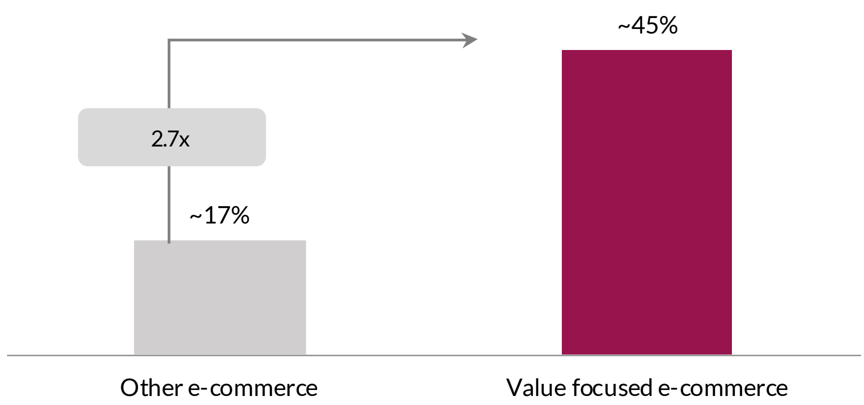
| Features | Value focused e-commerce | Convenience focused e-commerce |
|---|---|---|
| Primary product categories | Fashion, Home and Kitchen, Beauty and Personal Care, General Merchandise | Grocery, Electronics, Fashion, Beauty and Personal care, Home Kitchen and Furniture, General Merchandise |
| Target consumer segments | Mass-market consumers in Tier 2+ cities and middle-income groups | Urban, affluent, and time-sensitive consumers |
| Value propositions | 1. Access to affordable, unbranded and regional products<br>2. Low-friction seller model enabling lowest pricing | 1. Speed and convenience<br>2. Curated assortment with high availability<br>3. Access to leading Pan-India, D2C and global brands |
| Typical assortment type | Unbranded products and regional brands, typically available at entry-level price points | Branded products and essentials, typically focused on high velocity SKUs and known brands |
| Assortment spread | Broad within primary verticals, driven by long-tail unbranded products and regional brands | Curated assortment across categories |
| Typical delivery timeframe | 4-7 days | 10 minutes to few days |
| Typical fulfilment model | Typically fulfilled through a distributed network of third-party logistics partners and seller inventory | Typically fulfilled via centralized warehouses and owned/dedicated delivery fleets to ensure speed |
| Typical consumer journey | Discovery-led | Search-led |
| Operational control | 1. Minimal control over product assortment and inventory<br>2. Open platform play for sellers, buyers and partners to interact | 1. High platform control over product assortment and inventory<br>2. Centralized fulfilment and in-house or dedicated delivery networks |
| Cost to seller | Low | Can be higher v/s value e-com segment |

Source: Company, Axis Capital

**Value e-com is well-suited to address India's fragmented supply and affordability led demand, and is gaining share**

India's retail market is expected to have a high salience of regional brands and the unbranded segment (led by multiple small-scale sellers). This large segment remains underserved by organized retailers and is largely served by the unorganized retail channel, as indicated by 70–75% contribution of regional brands and the unbranded segment to unorganized retail. Value e-com, while part of organized retail, enables the supply of regional brands and unbranded products supported by technology orchestration and efficient logistics and fulfilment. In contrast, the other organized retail models thus far have largely been focused on enabling the supply of pan-India and D2C brands.

## Exhibit 89: GMV CAGR – value focused e-com vs other e-com in % , FY22- FY24

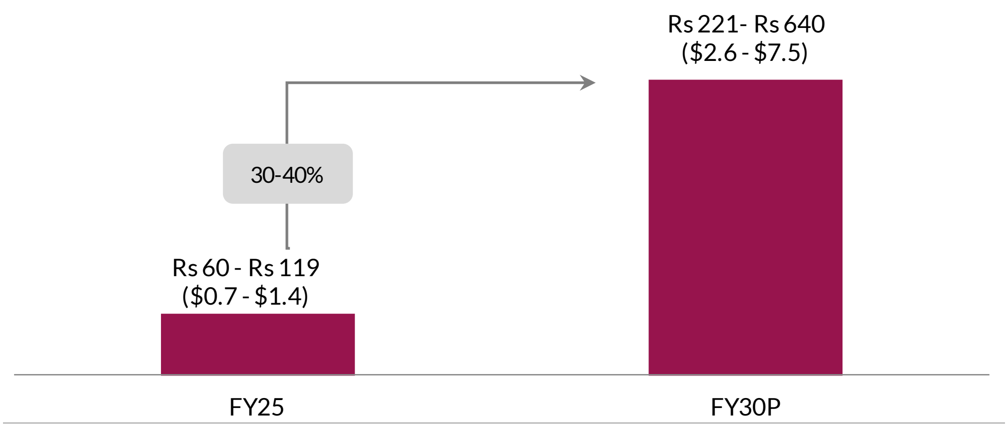



Source: Company, Axis Capital

**Content is rapidly emerging as a key enabler of discovery-led commerce**
Content commerce implies e-com purchases directly influenced by content that is created and distributed by content creators or influencers. It includes videos created by influencers, wherein the influencers recommend, demonstrate, or review products across short-form, long-form, or live-streamed video formats. The content is directly linked to the commerce journey through embedded shoppable links or buttons / banners.

India's content commerce market is at a nascent stage but witnessing rapid growth. Meesho expects (in the company's RHP) it to see 30-40% CAGR between FY25 and FY30E. As of FY25, India's content commerce market is estimated at Rs60-119bn (USD0.7-1.4bn) and is projected to increase to Rs221-640bn (USD2.6-7.5bn) by FY30E. As of FY25, content commerce accounted for 1-2% of the overall e-com market, significantly lower than Indonesia (20–30%) and China (40–50%) in the same period. In China and Indonesia, content commerce scaled over time, driven by deep influencer ecosystems, high engagement with short-form video, and seamless integration of content with commerce. India demonstrates similar trends– aspirational behavior, a young demography, low share of organized retail, high mobile engagement and growing influencer density; and has the potential to follow a similar adoption trajectory.

### Exhibit 90: India's content commerce GMV – in Rs bn (USD bn)

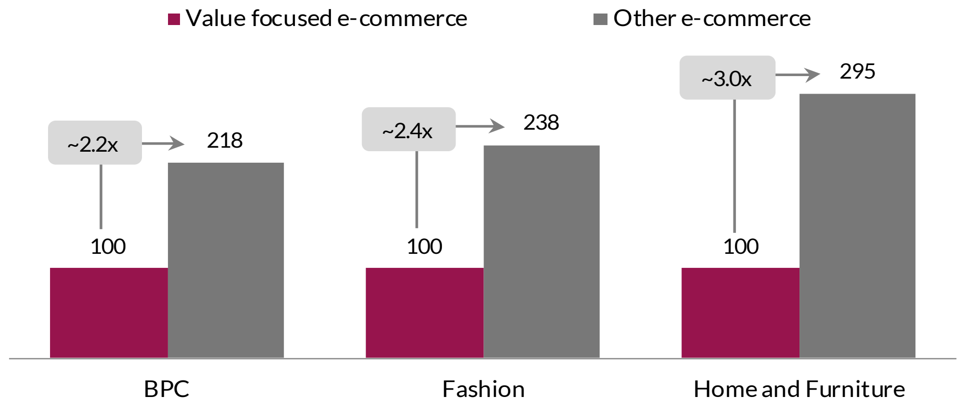



Source: Company, Axis Capital

**Large-scale participation of unbranded sellers enables value-focused e-com players to offer a wide, deep, and affordable product assortment**

Value focused e-com players aggregate fragmented supply by facilitating the participation of a large number of unbranded sellers and regional brands, and also enable provision of low ASP SKU packs from national and D2C brands. This helps value commerce players offer a wide and deep assortment that is also affordable. It also helps to foster competitive pricing, which enhances affordability for value-conscious consumers.

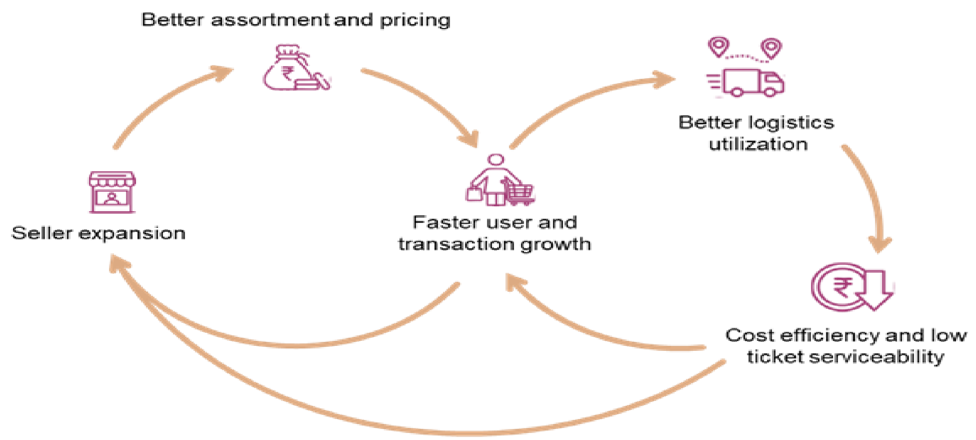
### Exhibit 91: Average Selling Price – value focused indexed at 100 units, FY25




Source: Company, Axis Capital

**Value focused e-com model typically operates on platform-based play**
A platform-based play refers to a commerce architecture wherein the platform enables discovery, seller participation, and fulfilment by integrating with network logistics providers, while inventory ownership and fulfilment responsibilities rely on existing seller capabilities and network logistics partners. This structure builds strong network liquidity, improving efficiency and scalability without significant capital deployment.

### Exhibit 92: Typical platform-based commerce flywheel



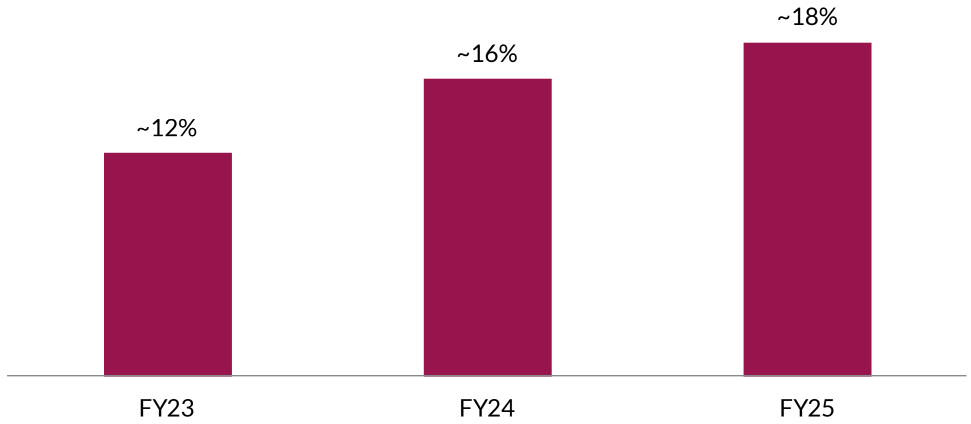

Source: Company, Axis Capital

**Digital advertising is a critical monetization lever**
Advertising is a critical monetization lever for e-commerce players. With millions of sellers competing for visibility on high-traffic, low-ticket-size platforms, advertising offers a scalable way to drive discovery and improve conversion for sellers, thereby enabling monetization for value-focused e-commerce players.

This is supported by broader shifts in India's advertising industry landscape, with digital channels capturing a growing share of the overall advertising market. Digital advertising's contribution (to India's advertising market) has risen sharply, increasing from ~50% in FY20 to 65–67% in FY25, and is projected to reach 75–78% by FY30. This growth reflects not only a structural shift away from traditional media – towards interactive, targeted, and measurable digital platforms – but also a meaningful expansion of the advertising market itself.

Within digital advertising, e-commerce stands out due to the integration of content, commerce, and first-party data. As of FY25, e-commerce accounts for ~18% of India's total digital advertising spend, and has substantial headroom for growth when compared to global markets.

### Exhibit 93: India e-commerce share as a % of total digital advertising market (in %)

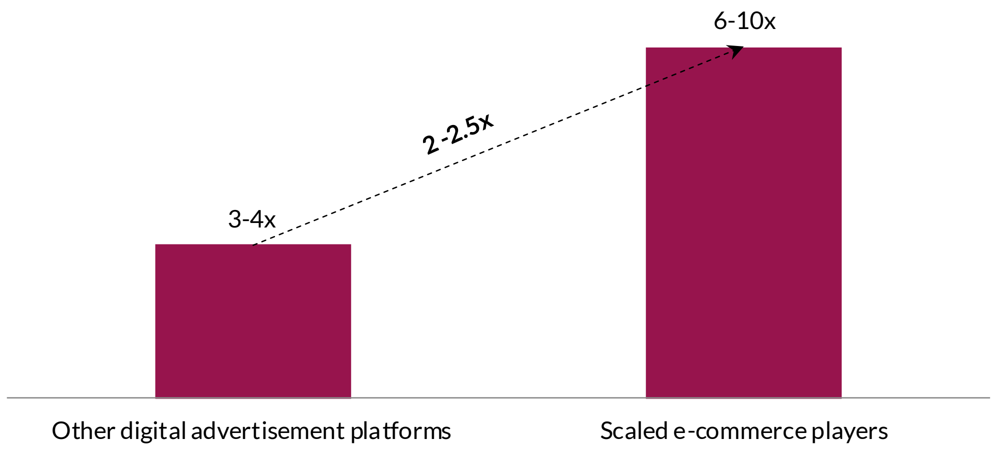



Source: Company, Axis Capital; Note: 1. India e-commerce share as a % of total digital advertising market pertains to FY25

E-commerce is increasingly capturing a larger share of digital advertising budgets, supported by its ability to deliver measurable outcomes, high-intent consumer engagement, and scalable reach. Key factors for this include:

- Purchase-oriented user engagement
- Tailored solutions for advertisers of all sizes
- Platform architecture designed for commerce
- Category fit and supply fragmentation

### Exhibit 94: RoAS comparison (FY25)




Source: Company, Axis Capital

As a result, as of FY25, scaled e-commerce players in India deliver a higher return on ad spend (RoAS) of 6–10x, compared to the average of 3–4x on other prominent digital advertisement channels (these include search engines, social media networks, video streaming (OTT) platforms, messaging apps, and short-form content platforms).

This high conversion efficiency has made e-commerce an increasingly attractive advertising channel for sellers, particularly in value-focused e-commerce, where small, unbranded sellers benefit from low-entry, performance-led ad formats that were previously inaccessible

# Financial Summary Consolidated

## Profit & Loss (Rs mn)

| Y/E March | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Net sales | 76,151 | 93,899 | 1,26,120 | 1,71,342 | 2,12,426 |
| Other operating income | - | - | - | - | - |
| **Total operating income** | **76,151** | **93,899** | **1,26,120** | **1,71,342** | **2,12,426** |
| Cost of goods sold | 0 | 0 | 0 | 0 | 0 |
| Gross profit | 76,151 | 93,899 | 1,26,120 | 1,71,342 | 2,12,426 |
| Gross margin (%) | 100 | 100 | 100 | 100 | 100 |
| Total operating expenses | (81,093) | (99,684) | (1,42,445) | (1,78,041) | (2,07,941) |
| **EBITDA** | **(4,941)** | **(5,785)** | **(16,325)** | **(6,699)** | **4,485** |
| EBITDA margin (%) | (6) | (6) | (13) | (4) | 2 |
| Depreciation | (581) | (340) | (385) | (553) | (785) |
| **EBIT** | **(5,523)** | **(6,125)** | **(16,710)** | **(7,253)** | **3,700** |
| Net interest | (64) | (69) | (91) | (123) | (163) |
| Other income | 2,441 | 5,110 | 4,953 | 4,664 | 5,872 |
| **Profit before tax** | **(3,145)** | **(1,084)** | **(11,849)** | **(2,712)** | **9,409** |
| Total taxation | 0 | (24,868) | (1,932) | (1,166) | (1,468) |
| Tax rate (%) | 0 | (2,294) | (16) | (43) | 16 |
| Profit after tax | (3,145) | (25,953) | (13,780) | (3,878) | 7,941 |
| Minorities | - | - | - | - | - |
| Profit/ Loss associate co(s) | - | - | - | - | - |
| Adjusted net profit | (3,145) | (25,953) | (13,780) | (3,878) | 7,941 |
| Adj. PAT margin (%) | (4) | (28) | (11) | (2) | 4 |
| Net non-recurring items | (131) | (13,464) | (1,411) | 0 | 0 |

## Balance Sheet (Rs mn)

| Y/E March | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Paid-up capital | 0 | 3 | 4,513 | 4,513 | 4,513 |
| Reserves & surplus | 22,296 | 14,452 | 7,323 | 6,554 | 18,272 |
| Net worth | 22,296 | 14,455 | 11,836 | 11,067 | 22,785 |
| Borrowing | 723 | 583 | 837 | 1,165 | 1,566 |
| Other non-current liabilities | - | - | - | - | - |
| **Total liabilities** | **41,610** | **72,261** | **75,035** | **87,787** | **1,16,543** |
| Gross fixed assets | 1,843 | 2,021 | 3,219 | 4,770 | 6,674 |
| Less: Depreciation | (723) | (1,063) | (1,448) | (2,002) | (2,787) |
| Net fixed assets | 1,120 | 958 | 1,771 | 2,768 | 3,887 |
| Add: Capital WIP | - | - | - | - | - |
| Total fixed assets | 1,120 | 958 | 1,771 | 2,768 | 3,887 |
| Total Investment | 32,034 | 60,714 | 56,621 | 56,621 | 56,621 |
| Inventory | - | - | - | - | - |
| Debtors | 2 | 5 | 5 | 6 | 8 |
| Cash & bank | 1,408 | 3,784 | 7,297 | 17,075 | 42,461 |
| Loans & advances | 20 | 33 | 33 | 33 | 33 |
| Current liabilities | 18,448 | 57,011 | 62,136 | 75,329 | 91,966 |
| Net current assets | (14,687) | (52,636) | (54,248) | (57,661) | (48,910) |
| Other non-current assets | 298 | 245 | 141 | 141 | 141 |
| **Total assets** | **37,616** | **67,074** | **68,221** | **78,997** | **1,05,505** |

Source: Company, Axis Capital

## Cash Flow (Rs mn)

| Y/E March | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Profit before tax | (3,145) | (1,084) | (11,849) | (2,712) | 9,409 |
| Depreciation & Amortisation | (581) | (340) | (385) | (553) | (785) |
| Chg in working capital | 4,719 | 15,772 | 6,557 | 11,216 | 14,386 |
| **Cash flow from operations** | **2,202** | **5,394** | **(44,450)** | **6,460** | **21,180** |
| Capital expenditure | (352) | (229) | (820) | (1,062) | (1,305) |
| **Cash flow from investing** | **(1,656)** | **(26,353)** | **4,120** | **3,588** | **4,554** |
| Equity raised/ (repaid) | 0 | 22,966 | 42,500 | 0 | 0 |
| Debt raised/ (repaid) | - | - | - | - | - |
| Dividend paid | - | - | - | - | - |
| **Cash flow from financing** | **(114)** | **21,053** | **42,298** | **(270)** | **(348)** |
| Net chg in cash | 432 | 94 | 1,968 | 9,778 | 25,386 |

## Key Ratios

| Y/E March | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **OPERATIONAL** | | | | | |
| FDEPS (Rs) | (0.8) | (5.5) | (2.9) | (0.8) | 1.7 |
| CEPS (Rs) | (0.7) | (8.2) | (3.1) | (0.7) | 1.8 |
| DPS (Rs) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Dividend payout ratio (%) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **GROWTH** | | | | | |
| Net sales (%) | 32.8 | 23.3 | 34.3 | 35.9 | 24.0 |
| EBITDA (%) | (72.6) | 17.1 | 182.2 | (59.0) | (166.9) |
| Adj net profit (%) | (81.2) | 725.1 | (46.9) | (71.9) | (304.8) |
| FDEPS (%) | (81.2) | 588.0 | (46.9) | (71.9) | (304.8) |
| **PERFORMANCE** | | | | | |
| RoE (%) | (13.4) | (141.2) | (104.8) | (33.9) | 46.9 |
| RoCE (%) | (12.8) | (5.3) | (83.5) | (20.4) | 51.7 |
| **EFFICIENCY** | | | | | |
| Asset turnover (x) | 54.3 | 48.6 | 48.1 | 42.9 | 37.1 |
| Sales/ total assets (x) | 2.0 | 1.8 | 1.9 | 2.3 | 2.3 |
| Working capital/ sales (x) | (0.2) | (0.4) | (0.5) | (0.4) | (0.4) |
| Receivable days | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Inventory days | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Payable days | 39.4 | 39.2 | 42.1 | 46.1 | 53.0 |
| **FINANCIAL STABILITY** | | | | | |
| Total debt/ equity (x) | 0.0 | 0.0 | 0.1 | 0.1 | 0.1 |
| Net debt/ equity (x) | (1.4) | (3.5) | (4.8) | (6.3) | (5.8) |
| Current ratio (x) | 0.2 | 0.1 | 0.1 | 0.2 | 0.5 |
| Interest cover (x) | (86.7) | (88.8) | (183.1) | (58.8) | 22.6 |
| **VALUATION** | | | | | |
| PE (x) | (182.9) | (26.6) | (50.1) | (177.9) | 86.9 |
| EV/ EBITDA (x) | (109.8) | (102.6) | (36.4) | (87.3) | 124.8 |
| EV/ Net sales (x) | 7.1 | 6.3 | 4.7 | 3.4 | 2.6 |
| PB (x) | 25.8 | 47.7 | 58.3 | 62.3 | 30.3 |
| Dividend yield (%) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Free cash flow yield (%) | 0.3 | 0.8 | (6.1) | 0.9 | 3.0 |

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| FUNDAMENTAL RESEARCH | | ALTERNATIVE RESEARCH | |
|---|---|---|---|
| **BUY** | We expect this stock to deliver more than 15% returns over the next 12 months. | **TACTICAL LONG** | We expect this stock to deliver >10% returns over the next 45 days. |
| **ADD** | We expect this stock to deliver 5-15% returns over the next 12 months. | **TACTICAL SHORT** | We expect this stock to deliver <-10% returns over the next 45 days. |
| **REDUCE** | We expect this stock to deliver 5% to -10% returns over the next 12 months. | **RELATIVE LONG** | We expect this stock to outperform the benchmark/stock (specified in this report) by 10% or more over the next 45 days. |
| **SELL** | We expect this stock to deliver <-10% returns over the next 12 months. | **RELATIVE SHORT** | We expect this stock to underperform the benchmark/stock (specified in this report) by 10% or more over the next 45 days. |

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**Compliance Officer:** Vilma Mathias Gangahar, Ph: +91-22-4325 1199, E-mail ID: compliance@axiscap.in
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